

# **Winning in a World that never sits still**

## **Lessons from E-Commerce and Retail**

**Guest Lecture by Joel Modestus**

*Guest Lecture given to b-school students on the challenges and realities of operating in a dynamic industry like E-Commerce and Retail and the mindsets and ways of working organizations can adapt to win*

## Disclaimer

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*Views expressed are completely personal*

*All data is from public sources or estimated from public sources like company financial reports, press reports*

# What we will cover today

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## Session 1

Realities, Challenges and Opportunities in a highly dynamic industry like Retail and E-Commerce

## Session 2

Organization ways of working and mindsets to win

# The Post-GFC world has changed Industry Dynamics

**What has changed  
post-2008**

**World with a Deluge of  
Risk Capital  
(ultra-low interest rates)**

**Rapid Enablement and  
Adoption (due to Cloud,  
Mobile, Internet, Social) of  
Digital Businesses**

**The New Reality - Significant Increase in Competitive Intensity**

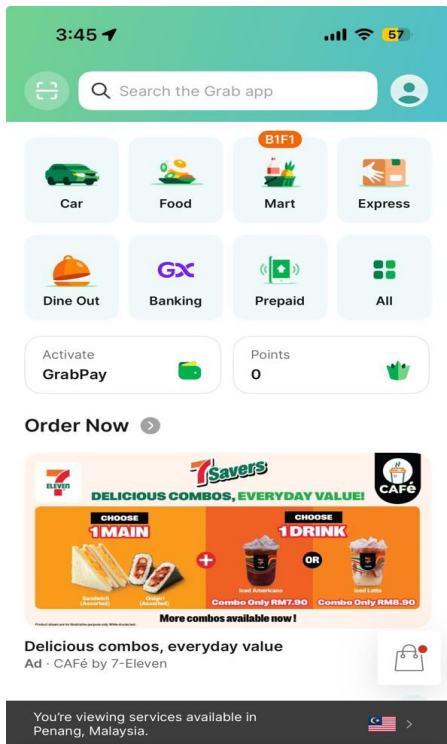
1. New Business Models not only possible but can also disruptive
2. New Business Model experiments (i.e. startups) can be launched with little capital
3. New Businesses (including bad businesses) are going to be funded
4. Never seen before Increase in commitment and 'patience' of risk capital

**Easy to launch and  
Scale**

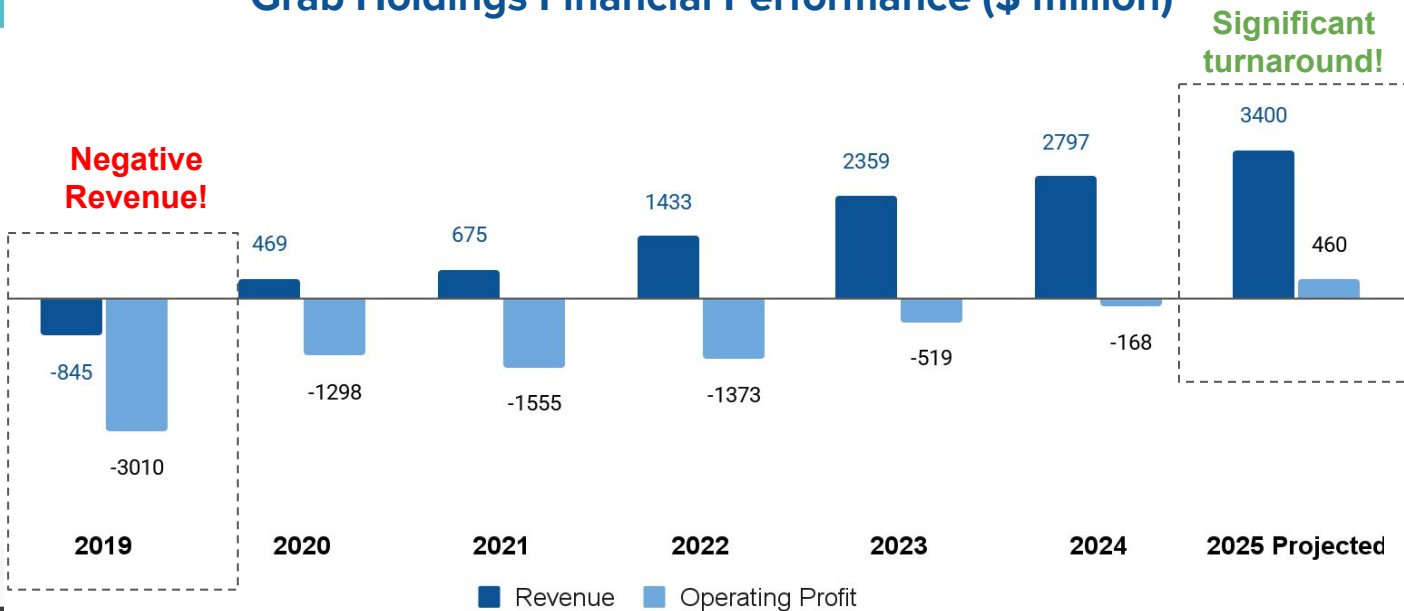
**Difficult to sustain  
and profit**



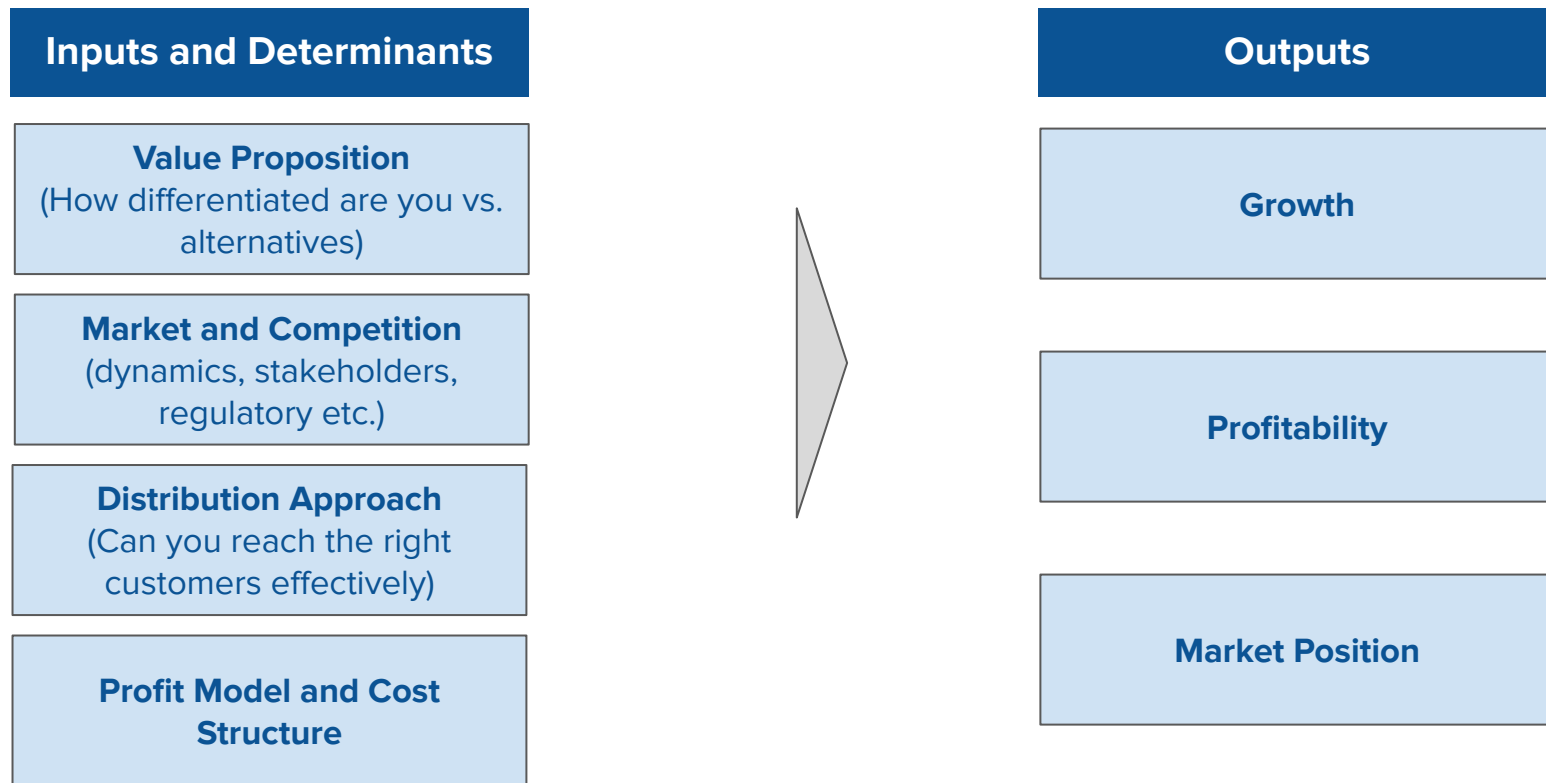
# Illustration of a Winner's Trajectory in High Competitive Intensity - Grab Holdings (South East Asia)



## Grab Holdings Financial Performance (\$ million)



# The Determinants of Growth, Profitability and Market Position of a Business



*and... of course consistency*

# The Determinants of Growth, Profitability and Market Position of a Business

## Inputs and Determinants

### Value Proposition

(How differentiated are you vs. alternatives)

### Market and Competition

(dynamics, stakeholders, regulatory etc.)

### Distribution Approach

(Can you reach the right customers effectively)

### Profit Model and Cost Structure



**Each of these inputs/determinants  
come with its own realities**

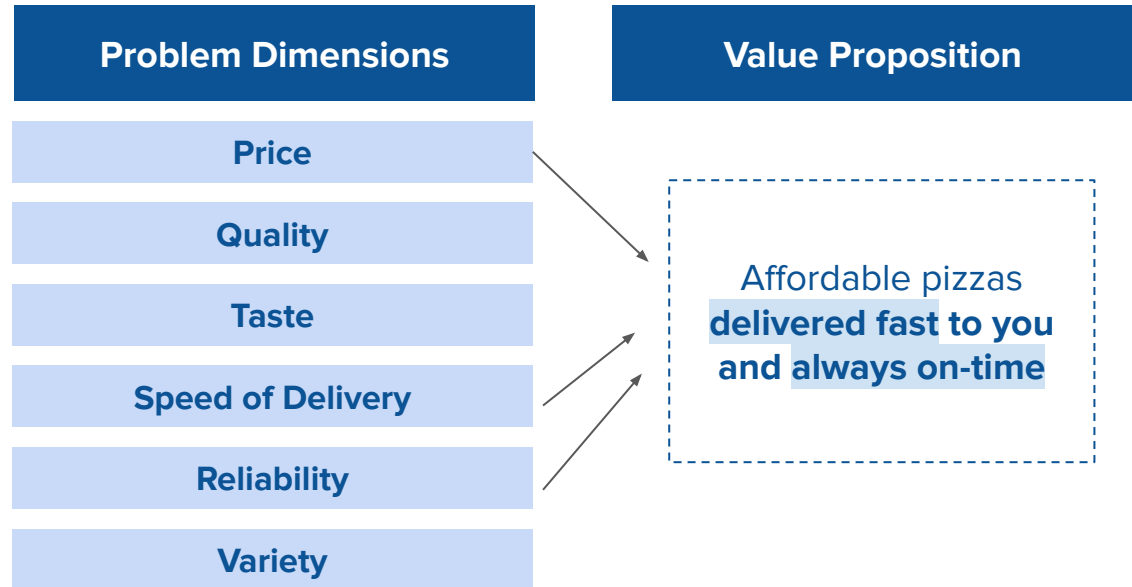
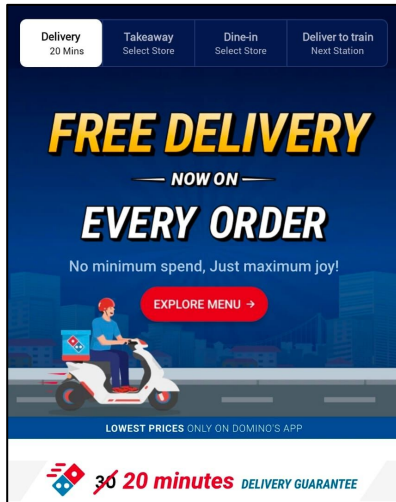
**Let us touch upon these in detail**

*and... of course consistency*

# Let's unpack Value Proposition...

**Company's Value Proposition:** A company's **key promises** across **key problem dimensions** that helps resonate with one or more segments of customers

## Example: Domino's Delivery



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Realities - Value Proposition

**You need to stand out on at least one dimension**

# The enduring e-commerce and retail businesses globally stand out on a few dimensions in their markets



Price



Selection, Price



Selection, Speed



Selection



Unique Selection,  
Price



Price



Pinduoduo

Price, Selection



Selection (Sports)

# How Costco stands out on price

## Costco - Best Value Retailer (\$250bn sales)



## How it stands out on price...

Only 4000 SKUs in Store



Low cost structure, high inventory turnover

Only 2-3 brands per category



High bargaining power over brand

Only Large packs



Best 'per unit' price (eg. lowest price per Kg)

No Advertising



Low cost structure

Requires Membership



Drives repeat purchases and scale

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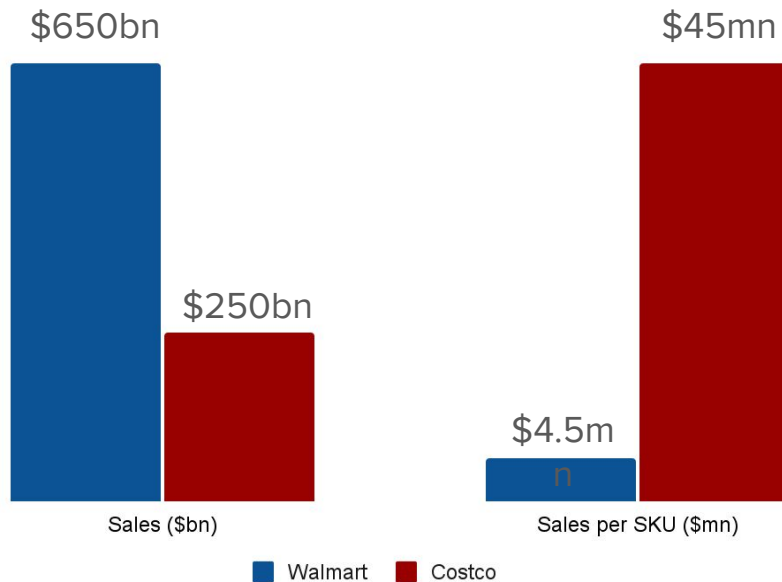
## Realities - Value Proposition

**Trying to stand out on many problem dimensions (i.e. trying to be everything for everybody) can be detrimental to your core value proposition**

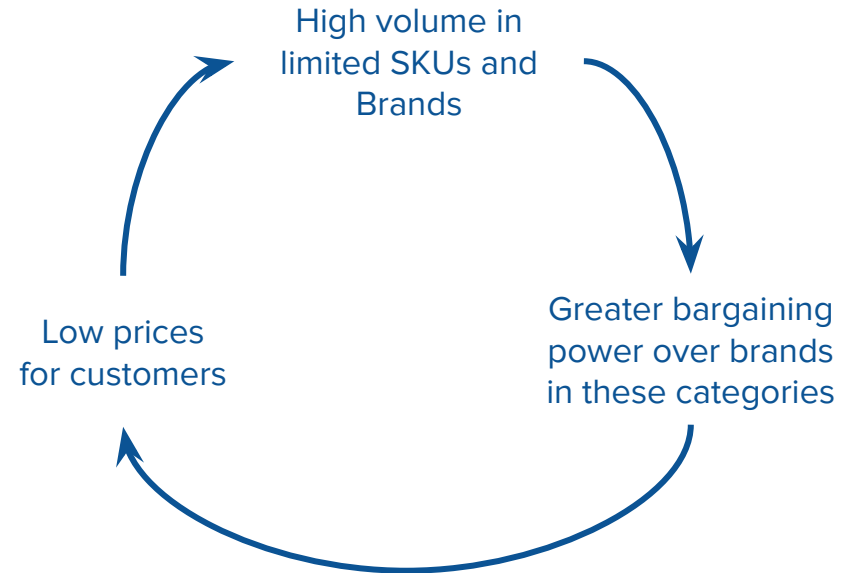


# Increasing SKUs intuitively increases sales, it is actually bad for Costco. Limited SKUs gives it huge scale and bargaining power over its brand partners

Costco Sales per SKU (Illustrative)

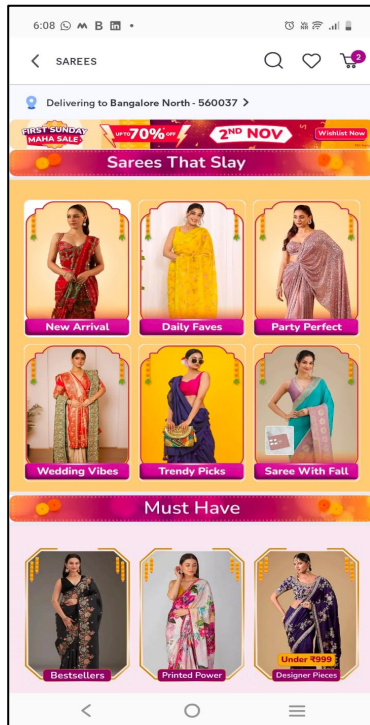


## Limited Selection is key for Costco success



# Meesho's value proposition has clear tradeoffs which might not make it suitable for the branded Meesho Mall offering

## Meesho Stands out on Selection and Price



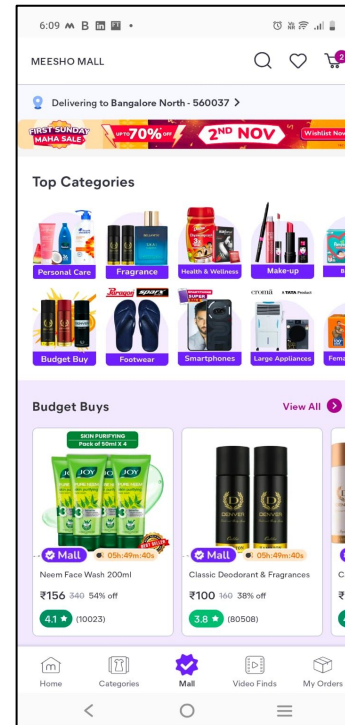
Meesho App

Price

Selection Variety

Has a no-frills model with slow delivery speed and does not provide reliable quality. But that enables the low price proposition

## Meesho Mall within same app sells branded products



Meesho Mall

## The Challenge

Customers of Branded products will expect better Speed of Delivery, Reliability and Customer Support

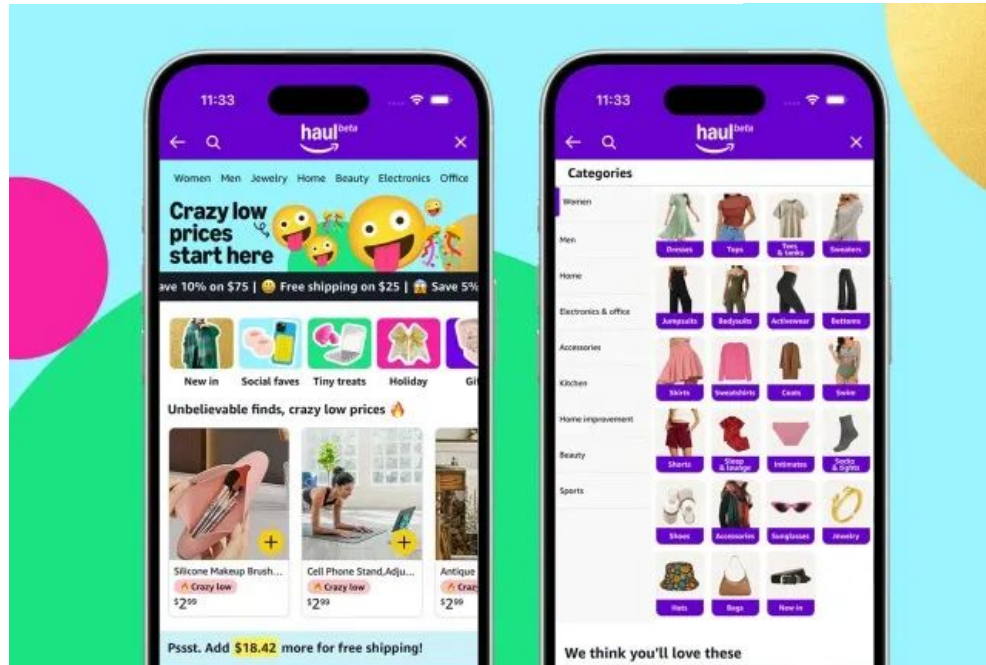
But offering these may not fit within Meesho's low-cost model that enables price as a stand out dimension

# Amazon taking on ultra-low priced Temu through the same platform with slower delivery... this might be a problem to its core proposition

## Amazon Launches 'Haul' to Sell Low-Priced Items to Compete With Temu, Shein

All items on Haul will be priced at \$20 or less and take up to one or two weeks for delivery

Amazon customers expect fast delivery and customer experience. Can lead to clash in value proposition



The new Haul tab on Amazon's app works hard to show it is a very different part of the "everything store." The new section uses brighter colors, flashing animation and a lot of emojis.

It highlights "crazy low" prices of things such as a \$1.99 iPhone case and a \$4.99 fanny pack. Item descriptions include a running count of how many of each product are left at that price. The item descriptions also point out that while it can take **more than a week for delivery, most deliveries are within seven days.**

Amazon's decision to dabble in pitching lower-priced products with slower delivery times is a direct response to competition from Temu. It has been planning a new storefront since earlier this year for a section focused on bargain-priced items like those on Temu.

# Alibaba's solution: two separate platforms with its own business models for Unbranded (Taobao) and Branded (Tmall) products to preserve value proposition



Tmall



Taobao

Taobao

**Low cost platform for unbranded product** sold by tens of millions small sellers. Main revenue model is advertising

Tmall

**Platform for authentic and branded products** often sold directly by brands and big sellers. Commissions is the main revenue model

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## Realities - Value Proposition

**You may have to trade-off between two important dimensions that pull against each other. (but sometimes you can overcome)**

# TJ Maxx sells Branded Fashion at the deepest discounts...

**\$150bn market cap. \$60bn in Sales**



**How does it offer lowest prices?**

**Buys only old, excess or liquidation inventory at bargain prices**

**Does not buy full sizes. It takes available sizes as long as right price**

**Opportunistic buying. All year buying instead of seasonal purchases**

**Buys multiple times in smaller batches instead of large purchases**

**Can you guess the tradeoff?**



... but it does not have consistent style, brand and size availability.  
So what does it do?

TJ Maxx converts this limitation into a treasure hunt shopping experience



TJ Maxx of course will not be able to offer consistent availability of top styles or brands or all sizes of a style

TJ Maxx turns this into an advantage - they have designed the stores to be a 'treasure hunt' shopping experience - where customers go around the store hunting for a great deal

The store design is deliberately cluttered to give a treasure hunt experience and is modular and is moved around every few days.

The low availability in this format generates FOMO instead!

# Netflix (DVD era) tradeoff was Choice/Availability vs. Cost ... but the Recommendation system helped to overcome it



The screenshot shows the Netflix DVD era homepage. At the top, the Netflix logo is on the left, and links for "Buy / Redeem Gift" and "Member Sign In" are on the right. Below the logo is a navigation bar with "Welcome", "How It Works", "Browse Selection", and "Sign Up Now". A search bar with the placeholder "Have a special offer? Enter Code:" and a "Redeem" button is also present. The main banner features a family of four sitting on a couch, with the text "The Best Way to Rent Movies" and a "Start Now" button. Below the banner, a list of benefits is shown: "Free shipping - Both ways", "No Late Fees - Keep DVDs as long as you want", "Over 80,000 Titles - Classics to new releases", and "Cancel anytime". At the bottom, there are links for "Welcome", "How It Works", "Browse Selection", and "Sign Up Now", followed by a footer with "Gift Subscriptions", "About Us", "Contact Us", "Affiliates", "Media Center", "Investor Relations", "Jobs", "RSS", "Netflix Prize", and "Genres". The footer also includes a copyright notice: "© 1997-2007 Netflix, Inc. All rights reserved. U.S. Patent No. 7,024,381 and U.S. Patent No. 6,584,450. [102] USA".

## How Netflix Recommendation algorithm pleased customers as well as helped profitability

Netflix was clearly seeing very good traction among customers who liked the subscription model with unlimited DVDs (five at a time)

But if customers were only choosing the latest blockbusters to watch (expensive for Netflix to obtain), Netflix will lose money in a big way.

The Recommendation Algorithm solved this tradeoff between cost and customer experience. It recommended titles cheaper to obtain that customers would still like!



# In E-Commerce offering Speed vs. Value is a big tradeoff

## The Benefits of Slower Speed → Better Value

Batch multiple orders together and get lower cost per shipment

Don't have to replicate inventory across FCs (lower working capital)

Reduce number of Fulfillment centers (lower Capex)

Increase utilization of supply chain assets (lower fixed cost per order)

## Quick Commerce in India is counterintuitive: 10 mins can be lower cost than 30 minutes!

Fulfillment cost is dependent on (very simplified):

- distance travelled per delivery
- Number of deliveries per kilometer
- number of deliveries per hour per rider
- Batching if possible

When batching is low in both scenarios of 10 minute and 30 minute delivery, then it makes sense to do 10 min rather than 30 min delivery (provided you are able to build order density)

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Realities - Value Proposition

**Even when you stand out on a key dimension, there can be a barrier dimension preventing customers from adopting the solution**

## Value Proposition: There can be barriers dimensions that prevent adoption

**Flipkart  
(India)**

**Barrier:** Trust (getting the same product as advertised) and online payment access

**Solution:** Cash on Delivery and 30-day returns

**Amazon  
(US)**

**Barrier:** High shipping fees on each order

**Solution:** Amazon Prime subscription. Free and Fast Delivery

**Alibaba  
(China)**

**Barrier:** High cost structure (for sellers)

**Solution:** Zero commissions model. No commissions on transaction

**Coupang  
(South Korea)**

**Barrier:** Slow and unreliable delivery

**Solution:** Rocket Delivery model. Lot of products in Same-day and next-day delivery. Early morning fresh produce delivery

# Barrier Dimension: Airbnb faced an existential crisis after a viral blog post from a Host in 2011

## *EJ's Blog Post regarding guests via Airbnb who destroyed their property*

They smashed a hole through a locked closet door, and found the passport, cash, credit card and grandmother's jewelry I had hidden inside. They took my camera, my iPod, an old laptop, and my external backup drive filled with photos, journals... my entire life. They found my birth certificate and social security card, which I believe they photocopied – using the printer/copier I kindly left out for my guests' use. They rifled through all my drawers, wore my shoes and clothes, and left my clothing crumpled up in a pile of wet, mildewing towels on the closet floor. They found my coupons for Bed Bath & Beyond and used the discount, along with my Mastercard, to shop online. Despite the heat wave, they used my fireplace and multiple Duraflame logs to reduce mounds of stuff (my stuff??) to ash – including, I believe, the missing set of guest sheets I left carefully folded for their comfort. Yet they were stupid and careless enough to leave the flue closed; dirty gray ash now covered every surface inside.

# Airbnb began solving comprehensively for Trust (The Barrier Dimension) for hosts and was able to unlock huge new supply on their platform



## Airbnb Trust Initiatives for Hosts and Guests

**2-way reviews** from both hosts and guests

The **escrow-like system** - Airbnb collects payments upfront from guests but releases to hosts only one day after guests check-in

**Host Guarantee:** \$1mn all-in-one policy called **AirCover**

**Guest standards policies** - codified in 2019 with clear expectations from guests and penalties. Protected hosts from fake, mal-intent reviews

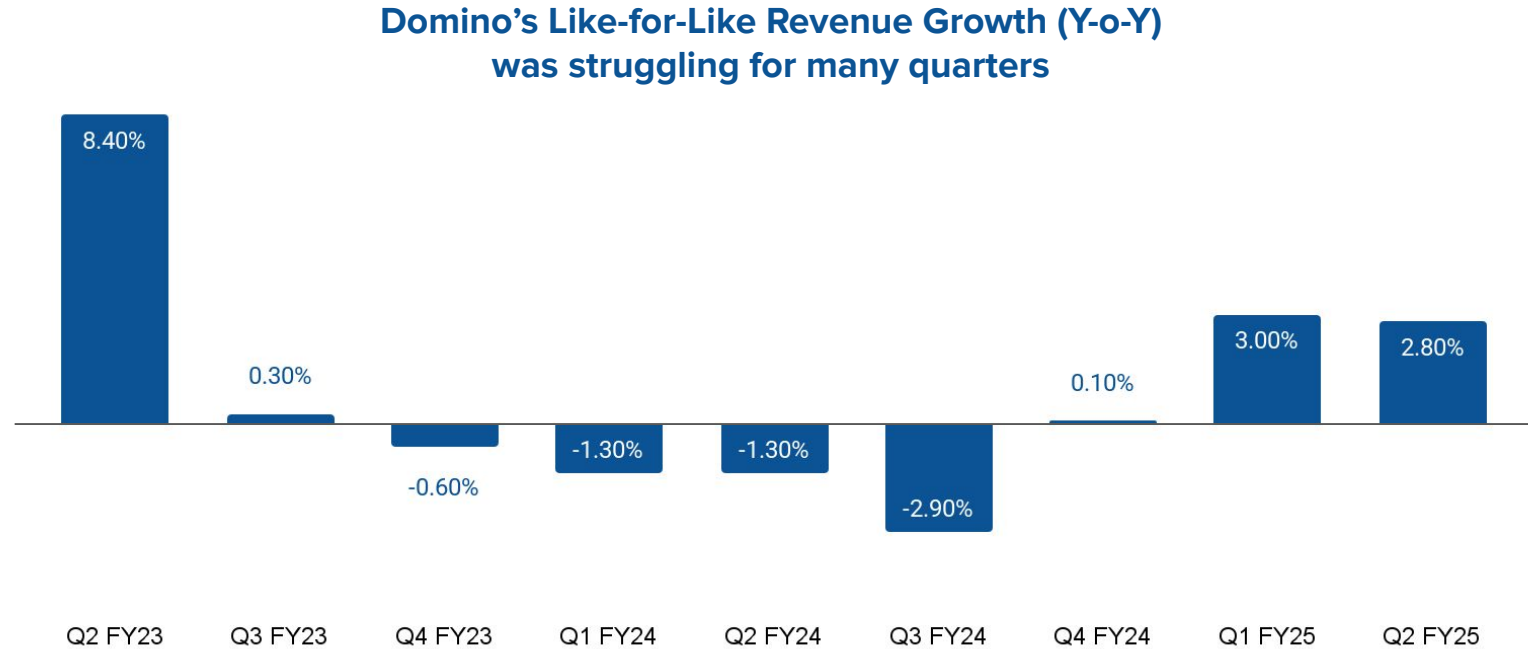
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Realities - Value Proposition

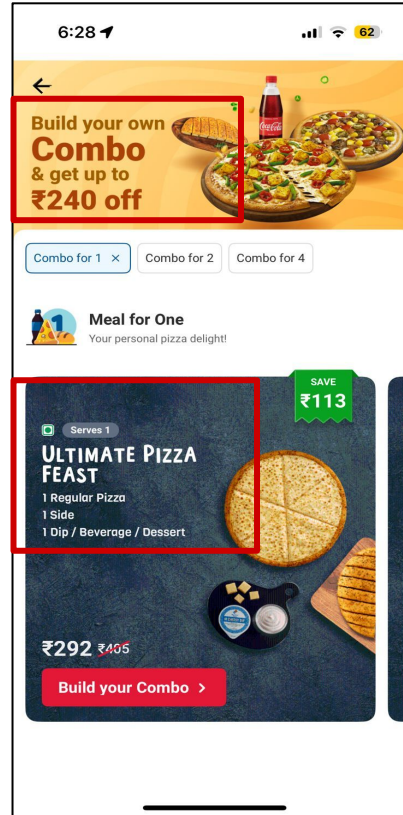
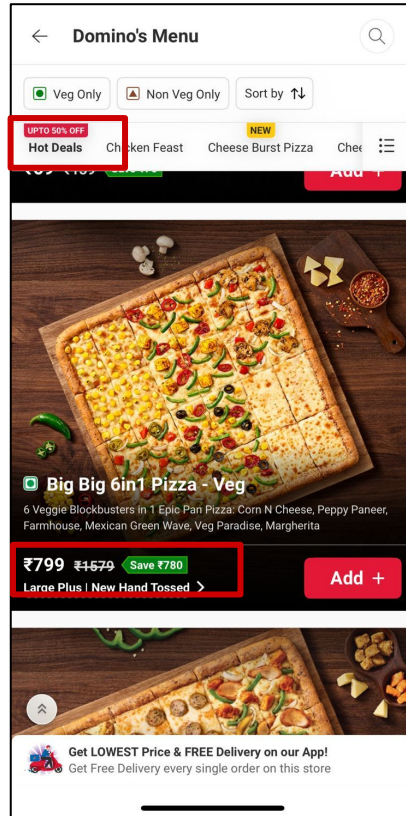
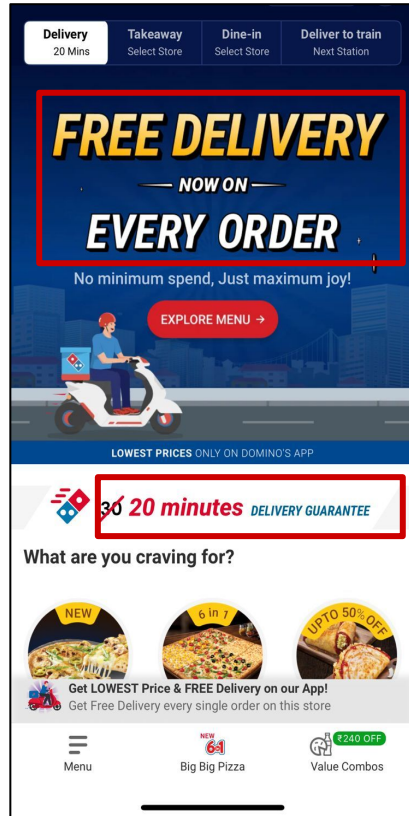
Realities - Market/Competition Dynamics

**Your value proposition lead in a key dimension can be lost!**

# Domino's India value proposition of convenience and reliability was lost with scale up of Food Delivery (Swiggy and Zomato)



# What did it do? Domino's doubled down on Value and Speed to regain growth



## The Big Initiatives are paying off

Free delivery on most orders has removed friction to order

Multiple locations have 20 minute delivery with guarantee

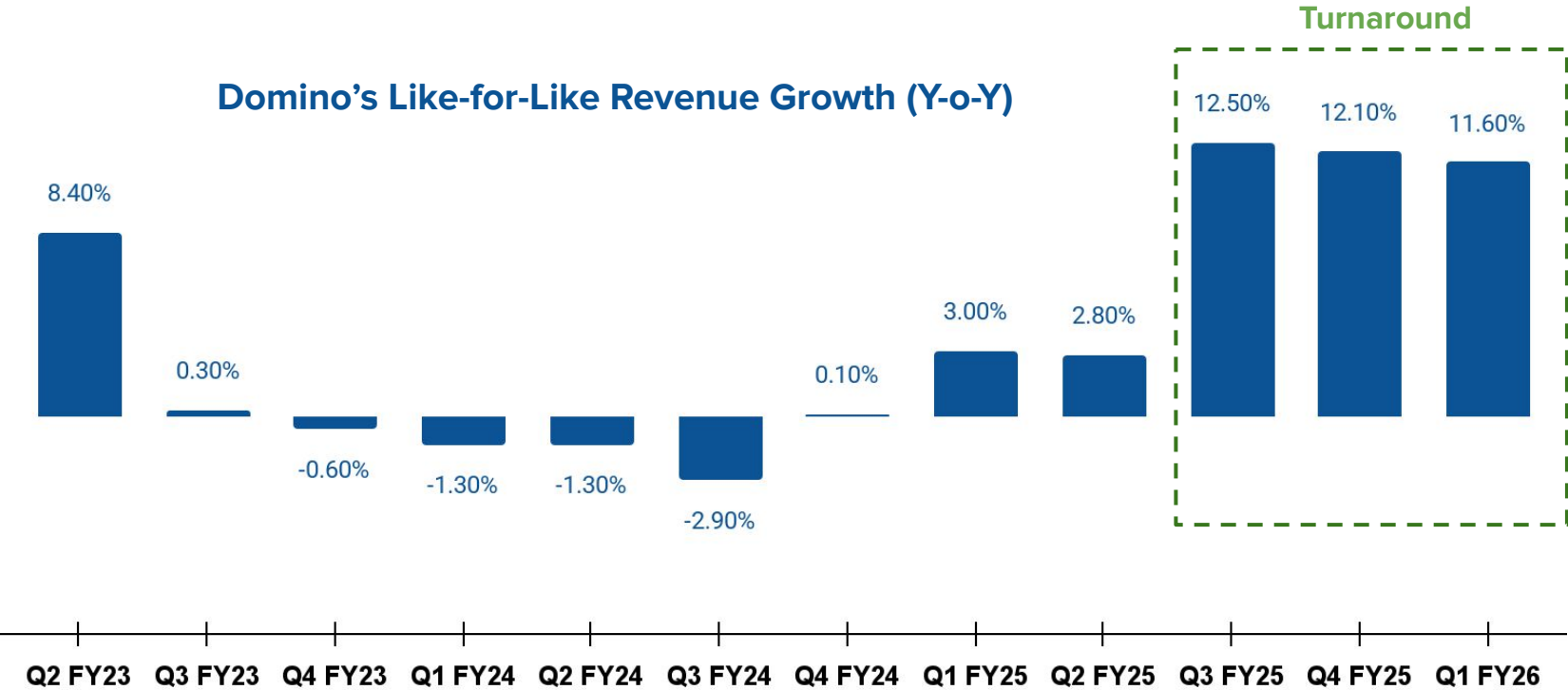
Multiple 'hot deals' and discounts throughout the week

'Value for money' menu innovation. Very large pizzas for parties/groups and affordable 'meal for one' combos

Continued growth in loyalty program *Cheesy Rewards*



# Domino's doubled down on Value and Speed to regain growth



Source: Company Reports

# Losing the value proposition advantage: Rapido as per many reports has overtaken Ola

*"Ola used to be our main competition. Now, the tougher competition in India is Rapido,"  
– Uber CEO in WTF Podcast*

## The ride hailing scene in 2018

With **10K daily rides** and Rs 1.5 Cr monthly revenue, Rapido completes 5 Mn rides in 28 months

With **1.5 Mn rides a day**, Ola advances towards profitability

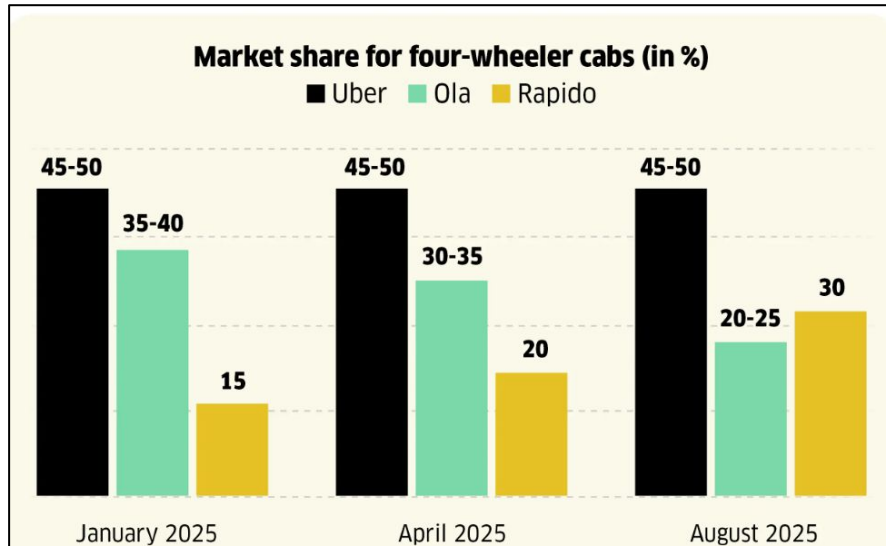
## 2024–2025

Rapido claimed 2.5 mn daily rides in late 2024 and in mid-2025 about **4.3 mn daily rides**

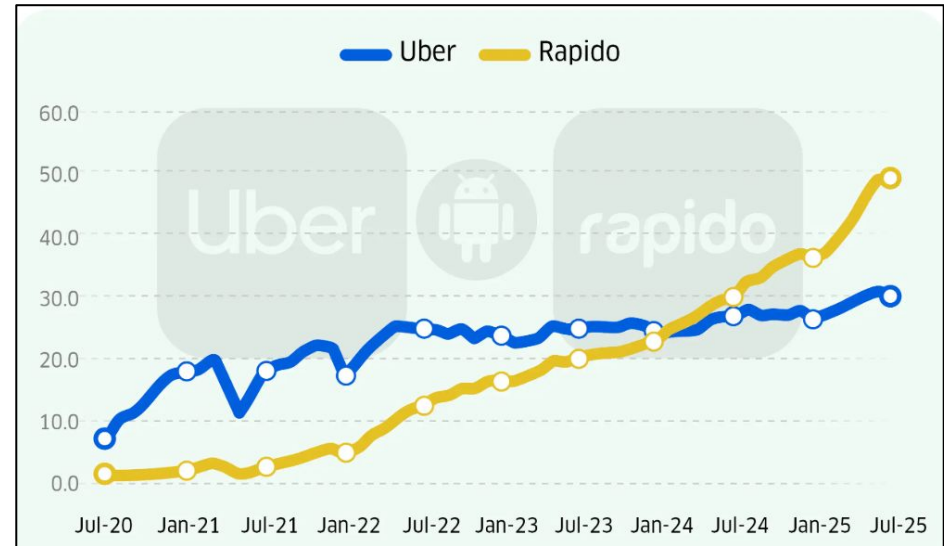
Uber, Ola did **2.5mn daily rides** **1.3mn daily rides** respectively (Source: The Arc Web) in 2024

# Rapido was a late entrant in the four-wheeler (earlier focusing on Bikes and 3-wheelers) yet seems to have overtaken Ola

## Three-party market share in Four-wheeler ride hailing

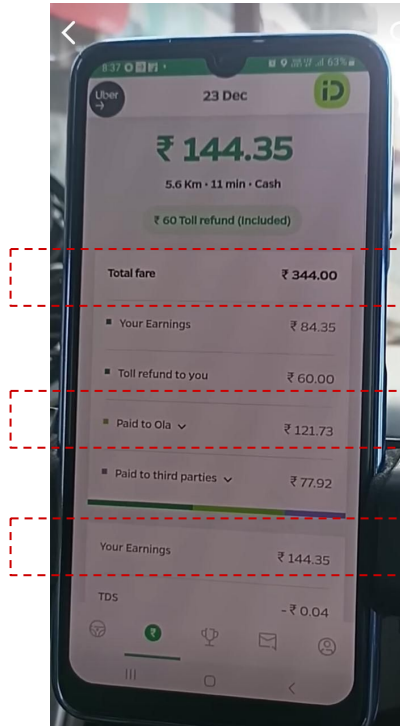


## App MAUs (Monthly Active Users) comparison

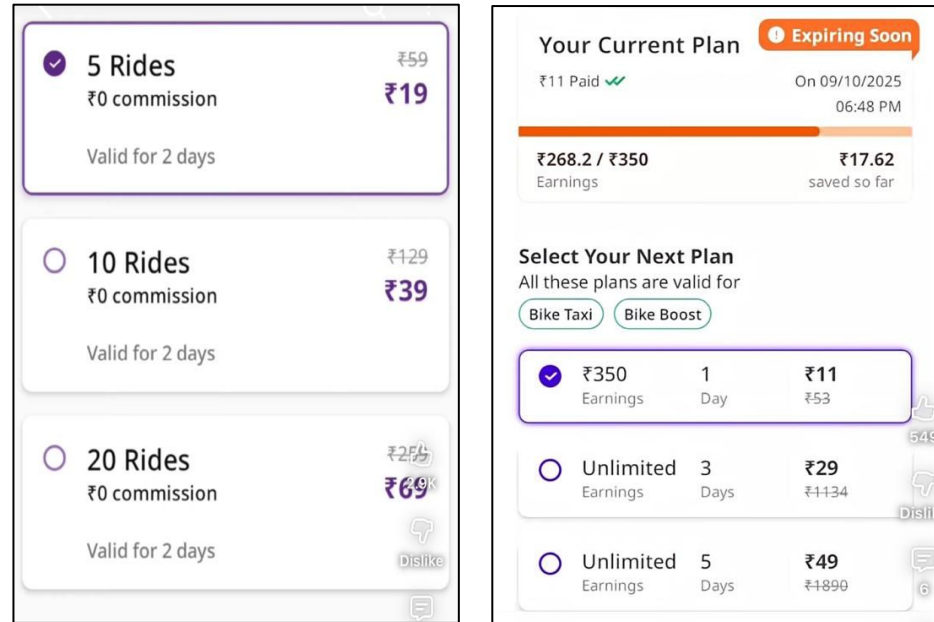


# How did Rapido do it? By solving for the very unhappy driver. Pivot to subscription model instead of commission model

Drivers were very unhappy with the high commissions per trip



Predefined Fixed Subscription lowered costs while bringing certainty



Note: Subscription plans vary based on mode and location

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Realities - Value Proposition

Realities - Market/Competition Dynamics

**Changing external factors like Inflation may threaten your core value proposition**

# Five Below is a unique retailer – A Dollar Store focused on Tweens

## Five Below Core Model

Fun, Trendy products (crafts, gadgets, toys, snacks, party supplies, decor, candies etc.)

Focused on age group 10-19 (and their parents)

Every item sold is 5\$ and below

‘Trend Right’ products - constantly changes assortment based on trends

Stores are near big chains like Walmart.  
Parents, kids can complete shopping trip here



# Five Below has grown fast and is recession and disruption proof

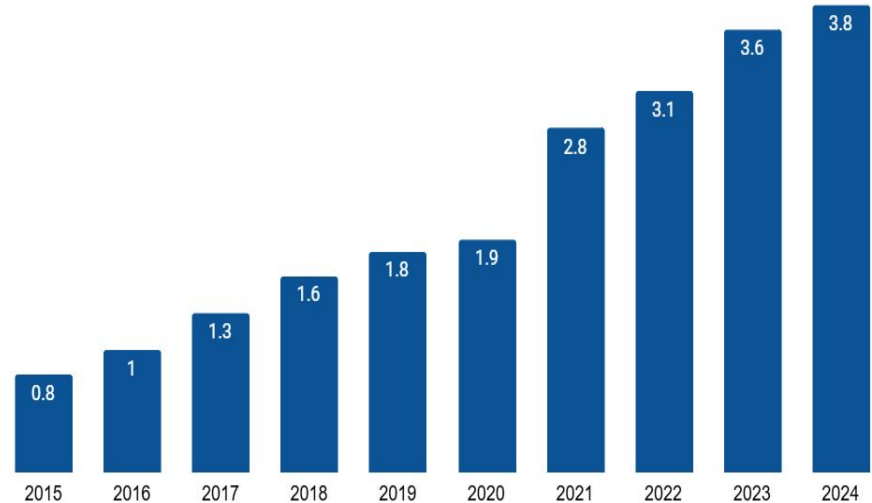
## TREND-RIGHT “WOW” PRODUCTS AT EXTREME VALUE ACROSS 8 AWESOME WORLDS



**Recession Proof** - The low price point helps in highly affordable indulgences for customers

**Disruption Proof** - The low price point protects against online competition who have fulfillment costs

## Five Below Sales \$billion





The problem? The name! In an inflationary environment, it is difficult to offer all products under \$5. Here's what Five Below did



A separate section within the store called **Five Beyond** (after a few branding iterations) with the tagline 'still below the rest'

This helped in offering even more trendy assortment at the right price points

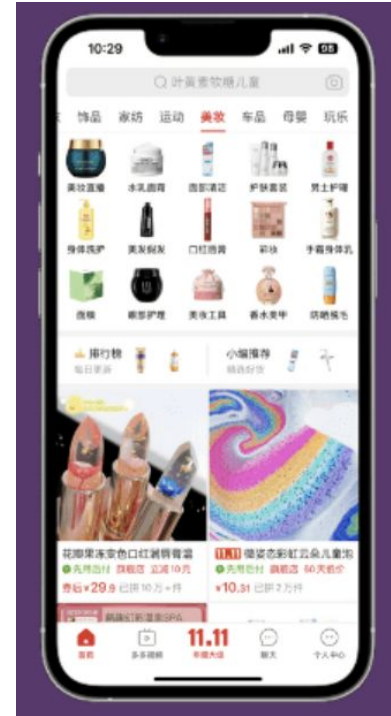
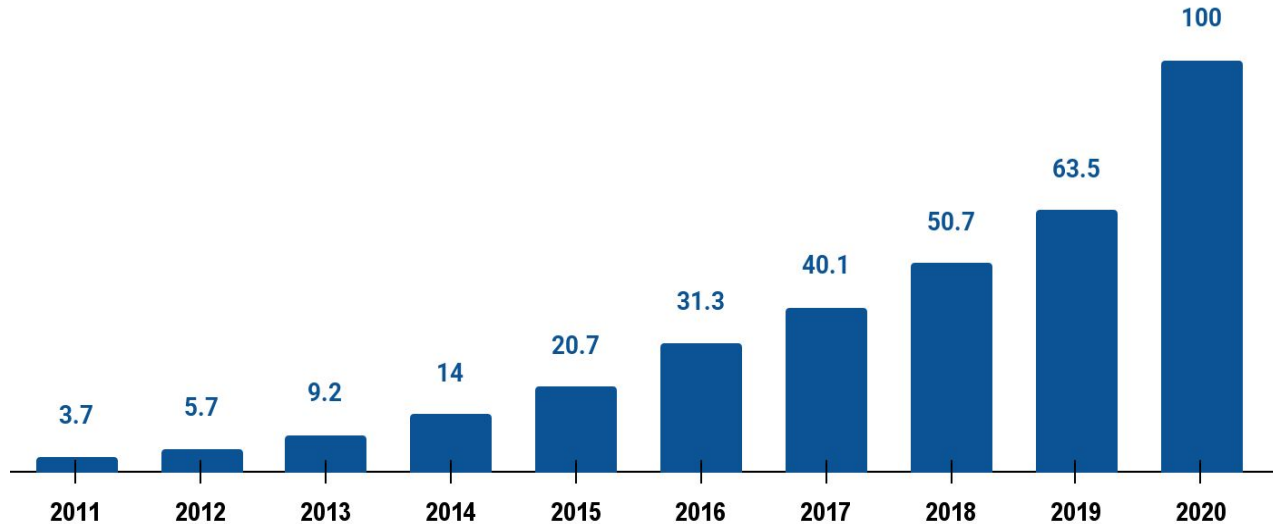
**Not only de-risked but increased sales!**



**A winner's contribution to ecosystem development can lead to threat (or opportunity) from new challengers piggybacking on the developed ecosystem**

# In China, Alibaba especially catalyzed the growth of third party logistics which enabled future fierce competitors Pinduoduo and Bytedance's e-commerce

China express parcel delivery volumes in billion



Pinduoduo

# Similarly, E-Commerce leaders in India drove logistics ecosystem demand and capabilities that enabled future players like Meesho

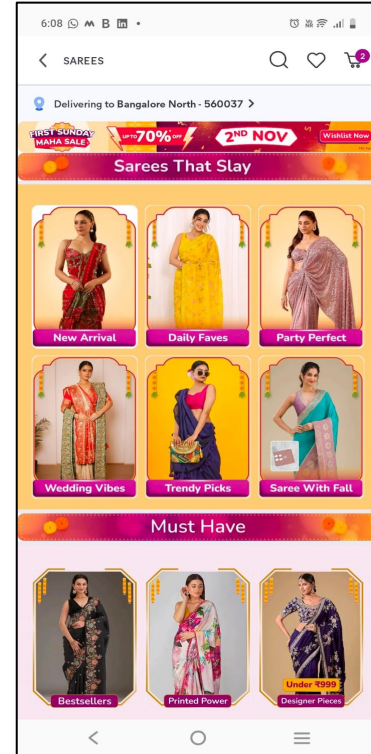
Delhivery (logistics player)  
scale in 2021 (when it went  
public)

17,500 pincodes  
(of 20,000)

1.2 Billion express parcel  
volume

11,000 network partners

Meesho was able to  
leverage *Delhivery* and *Ecom  
Express* to scale its reach in  
an asset-light manner



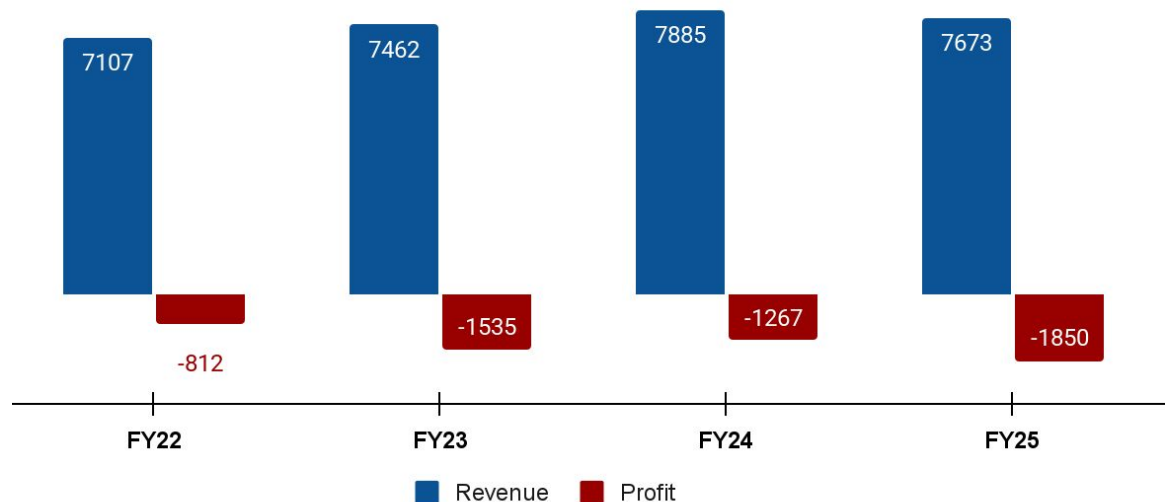
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Realities - Market, Competition Dynamics

**Inflexibilities in a market leader's strategic and investment choices can deter a response to a new disruptive challenger**

# BigBasket the erstwhile Online Grocery market leader is struggling in the last few years due to Quick Commerce disruption

## BigBasket Revenue and Profit (Rs. Crores) - Only B2C



BigBasket has pivoted to Quick Commerce and has arrested declines but yet to see growth

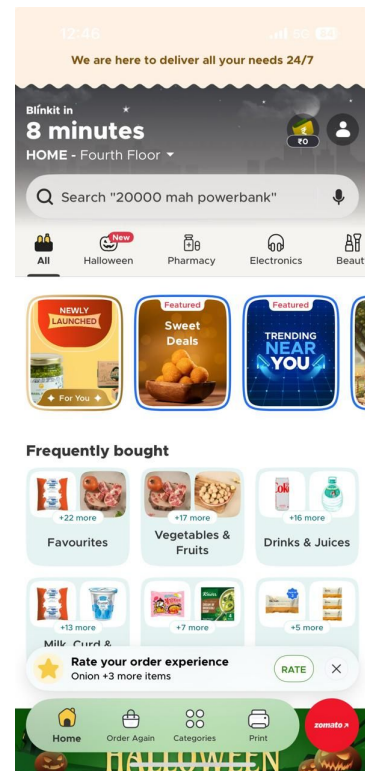
As per press reports, company executives (Feb 2025, Financial Express), **80% of orders are coming from BB Now**, its Quick Commerce arm

The company has around 700 dark stores (mid-2025) with plans to take it to 1000+ year end.

The challenges of BigBasket illustrates how tough it is to get 'consideration' from customers

# The inflexibilities of BigBasket's earlier model (for example Supply Chain model) explains why it is so tough to respond

| BigBasket Model              | New Requirement            |
|------------------------------|----------------------------|
| Fewer stores (Larger radius) | Many Stores (Small radius) |
| Batched Delivery             | Single parcel              |
| Weekly replenishment         | Daily Replenishment        |
| Planned workforce            | On-demand workforce        |
| Large Selection              | Small Selection            |
| City-level pricing           | Store-level pricing        |



Extremely tough to respond to a new model when you have invested a ton of capital in the existing model

# In the future, Blinkit's own inflexible choices might be a problem against new threat!

| Blinkit model                           | Potential Threat                         |                                                                       |
|-----------------------------------------|------------------------------------------|-----------------------------------------------------------------------|
| Large selection variety<br>(6000+ SKUs) | 1000 SKUs                                | Smaller space, higher inventory turnover,<br>lower cost structure     |
| Wide assortment of<br>brands            | 2-3 brands plus private<br>label brand   | High scale in fewer brands can lead to<br>good bargaining power       |
| 10-min Delivery                         | 30-min delivery but<br>emphasizing value | Potential batching and superior cost<br>structure (lower fixed costs) |

# What to do when a strong disruptive challenge comes? Disrupt yourself by incubating a new business

Zayre, a once popular chain was increasingly facing pressures from Walmart and other new discount retailers. It fought back differently...

... Zayre incubated TJ Maxx, an 'off-price' business (brands at deep discounts by selling liquidation inventory). Today 150 billion dollar market cap. ~60bn sales



Meanwhile Zayre brand closed in 1990s



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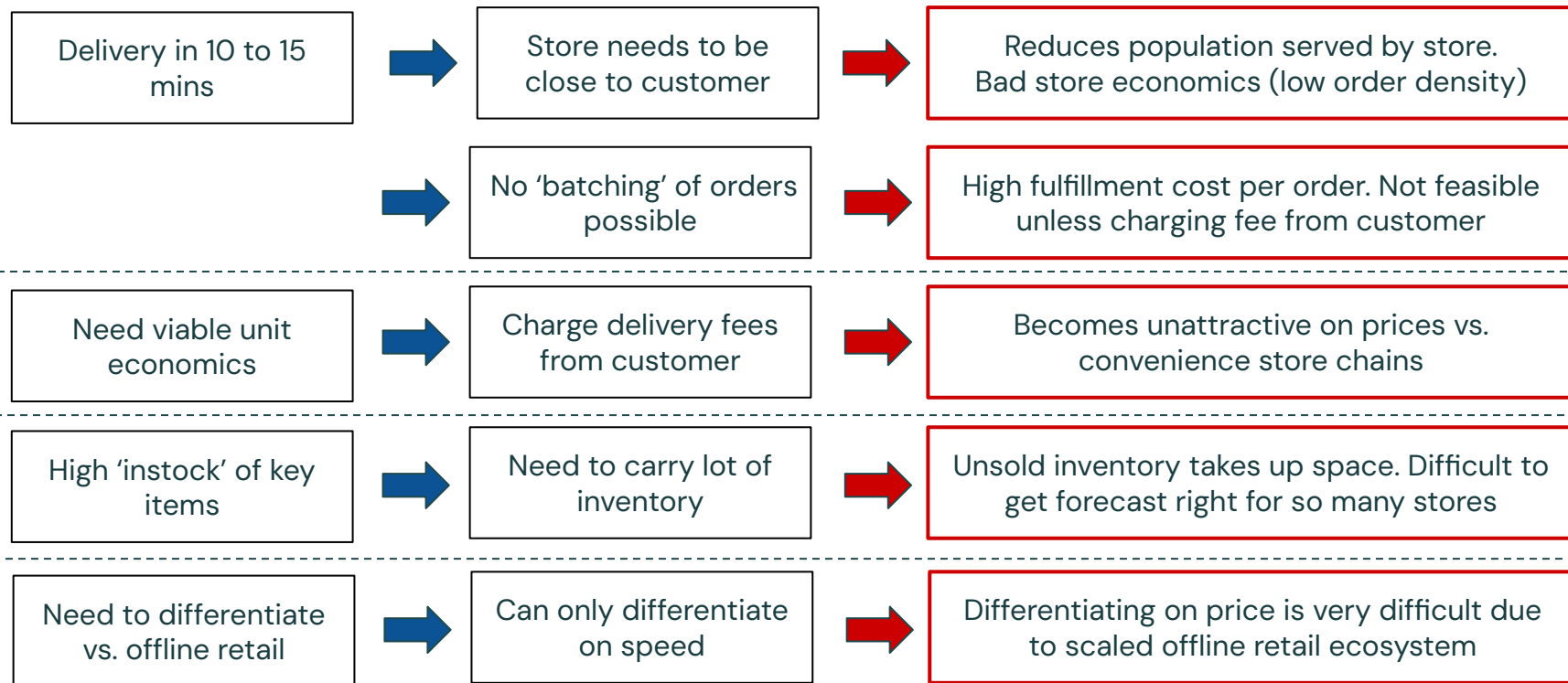
Realities - Market, Competition Dynamics

**Market Context heavily determines whether a business model will work or not.  
Why does Quick Commerce seem to work in India but not in most countries?**

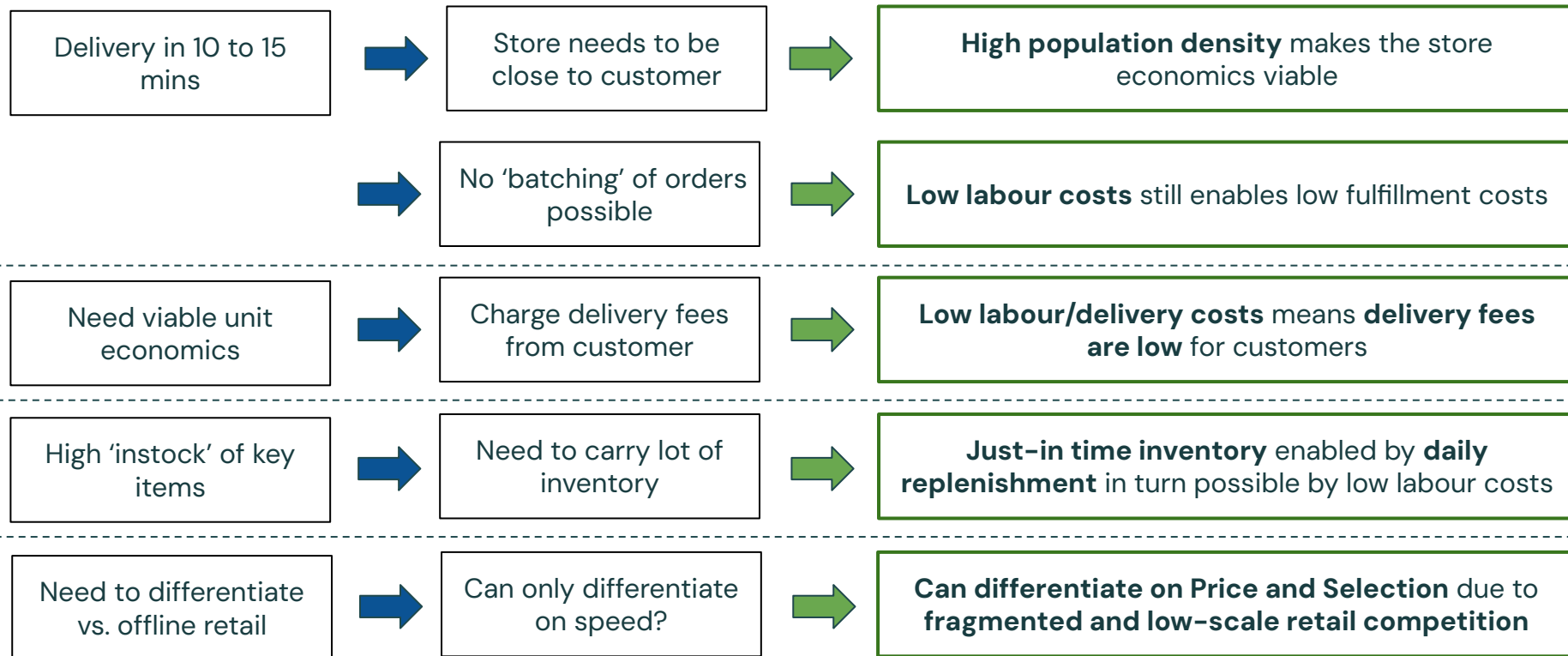
# Quick Commerce originated in other countries but saw spectacular flameouts



# Globally, why Quick Commerce was hard to get right – because there are inherent challenging tradeoffs



# Why Quick Commerce works in India – population density, low labour costs and sub-scale retail ecosystem help address challenges



# Why Quick Commerce works in India – population density, low labour costs along with sub-scale existing retail ecosystem are key

**Subscale and Fragmented Retail Ecosystem**

**Sub-Par Selection of offline retail for Customers**



**Better Value Proposition vs. Local Convenience Stores**

**High Population Density**

**Low cost of Labour**



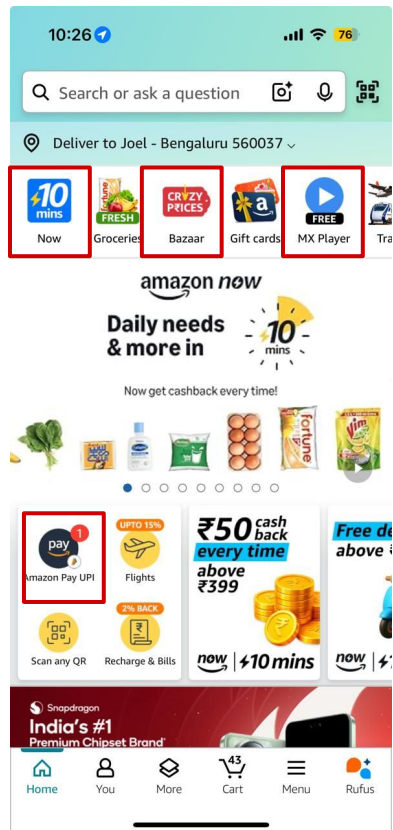
**Feasibility of Operations**

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Realities - Distribution

**Value Proposition must be paired with a solid Distribution Approach which is very hard to nail**

# In a crowded market, there are many challenges in getting distribution even with a good value proposition



Even with such a high visibility on app and tens of millions of daily users, it is tough to get adoption for many of these

## Common Challenges

Customers are not aware of your proposition

Customers remember you for something else

Customers aware but don't think of you (consideration) when they order

Reaching customers is too expensive

# Unpacking Distribution Approach

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**Distribution Approach:** Reaching or pulling the right customer segments through the most effective venues while delivering the right message about your offering

## Pull Approach

Pulls organic demand through clever design of the core product or through unique hooks and offerings

**Example: Flipkart Smartphone Flash Sales**

## Push Approach

Proactively try to reach customers through effective channels with the right message

**Example: Meesho YouTube influencers**



# Flipkart rode the smartphone boom and attracted customers to platform through clever sales design

The original Moto G smartphone was a unique Indian e-commerce experiment



Flipkart tied up with Motorola, a new entrant for its first smartphone launch and made it online-first

By selling via Flash sale model, Flipkart was able to bring in a lot of interest and traffic to the platform

flipkart.com Search for a product, category or brand SEARCH CART

**moto g**

Price Drop, Eyes Pop  
₹2000 Off on MOTO G  
Limited Stocks only  
SHOP NOW

Take your pick

| Storage | Price          | Action  | Delivery                                   |
|---------|----------------|---------|--------------------------------------------|
| 8 GB    | Rs. 10,499/- * | BUY NOW | * Will be delivered in 2 - 3 business days |
| 16 GB   | Rs. 11,999/- * | BUY NOW | * Will be delivered in 2 - 3 business days |

Flipkart Big Billion Days have become a much awaited event – helped in getting many new customers to Indian e-commerce



The banner features a blue and yellow background with a large yellow triangle on the left. In the center, a circular logo with a yellow border contains the text "THE BIG BILLION DAY" in blue and yellow. Below the logo, the text "6TH OCTOBER 2014" and "SALE STARTS AT 8 AM" are displayed in black. A blue button with a white Facebook icon and the text "SHARE ON FACEBOOK" is positioned to the right of the text "Spread the love! Share this now". Below this, the text "MAKE THE MOST OF THE BIG DAY" and "FASTEST FINGER FIRST!" are displayed in black. At the bottom, there are three icons: a blue silhouette of a person, a red heart, and a yellow square with a blue bird-like icon. Below each icon is a corresponding text prompt: "Keep your profile up-to-date", "Add your favourites to Wishlist", and "Shop smart, shop quick, shop happy!".

**THE BIG BILLION DAY**

6<sup>TH</sup> OCTOBER 2014

**SALE STARTS AT 8 AM**

Spread the love! Share this now

[f | SHARE ON FACEBOOK](#)

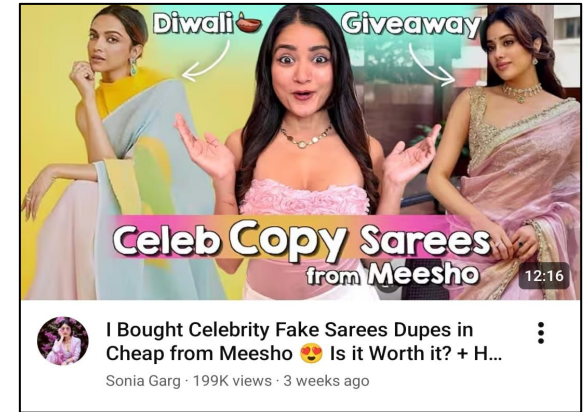
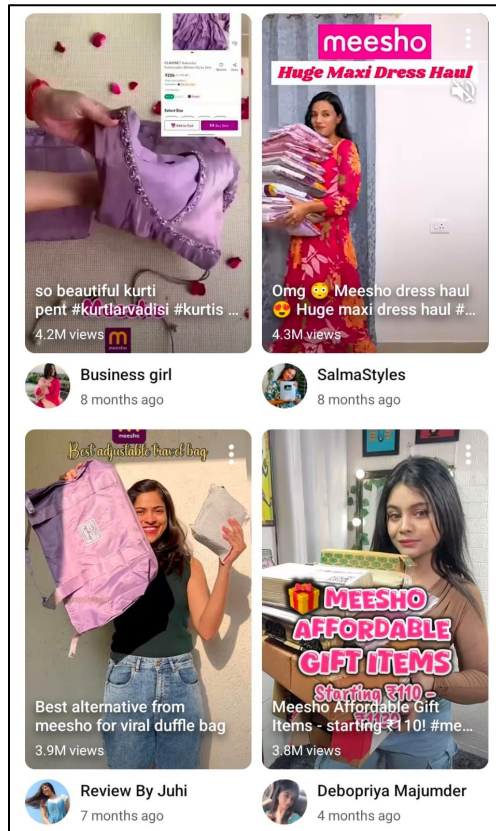
**MAKE THE MOST OF THE BIG DAY**  
FASTEST FINGER FIRST!

 Keep your profile up-to-date

 Add your favourites to Wishlist

 Shop smart, shop quick, shop happy!

# Meesho invested more on Influencer marketing than any of the other platforms, especially on YouTube (high traction among Tier 3 customers)

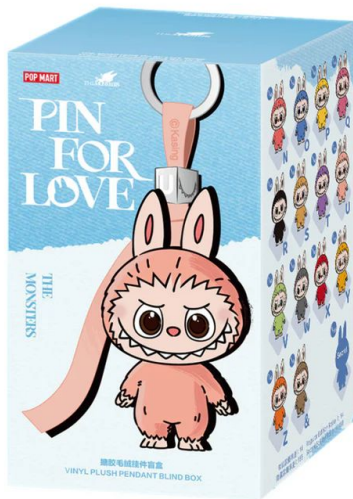






# Labubu Craze: PopMart by using a Blind Box format (customer does not know what model she will get) has created virality for its toys

The blind box format and limited edition model creates hype and FOMO for customers



## SECRET EDITION

Chestnut Cocoa

The probability of drawing the secret figurine in this series is  $1/72$ .

## SINGLE BOX

One figurine per blind box

Each regular figurine with odds  $1/6$ .



## WHOLE SET

The whole set contains **6 blind boxes** (no repetitions).

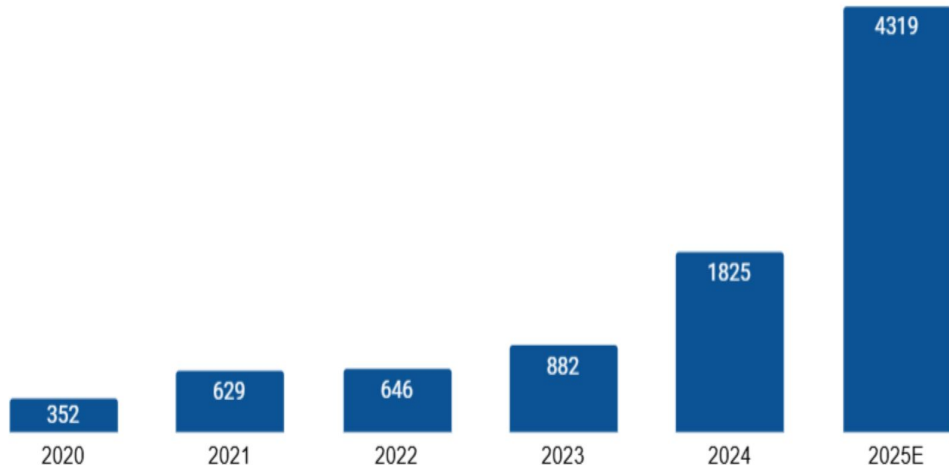


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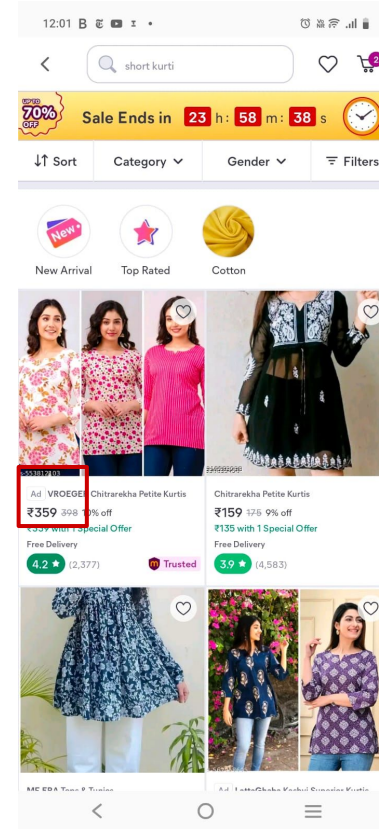
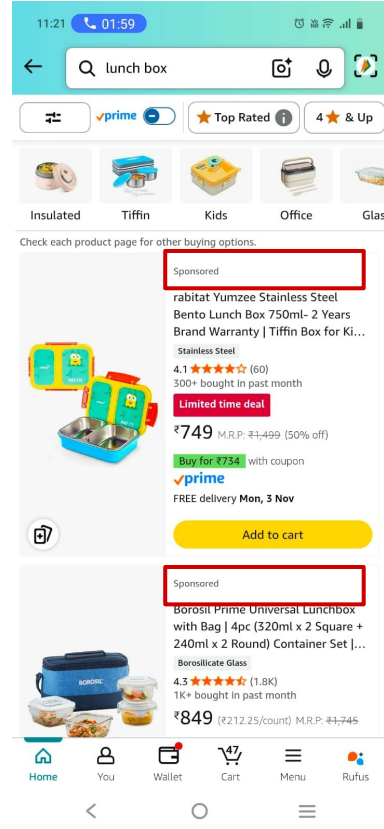
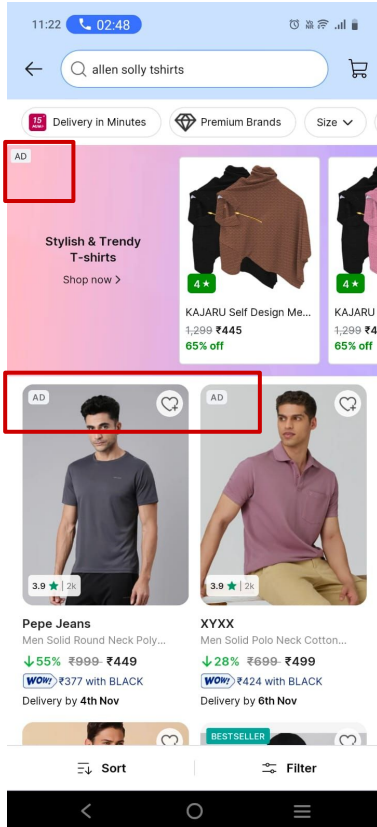
Pop Mart Overall Revenue in \$mn



**When Core Business is persistently low margin, you may have to find an alternate profit model.**

**Advertising for example, has come to become a key profit center in e-commerce globally**

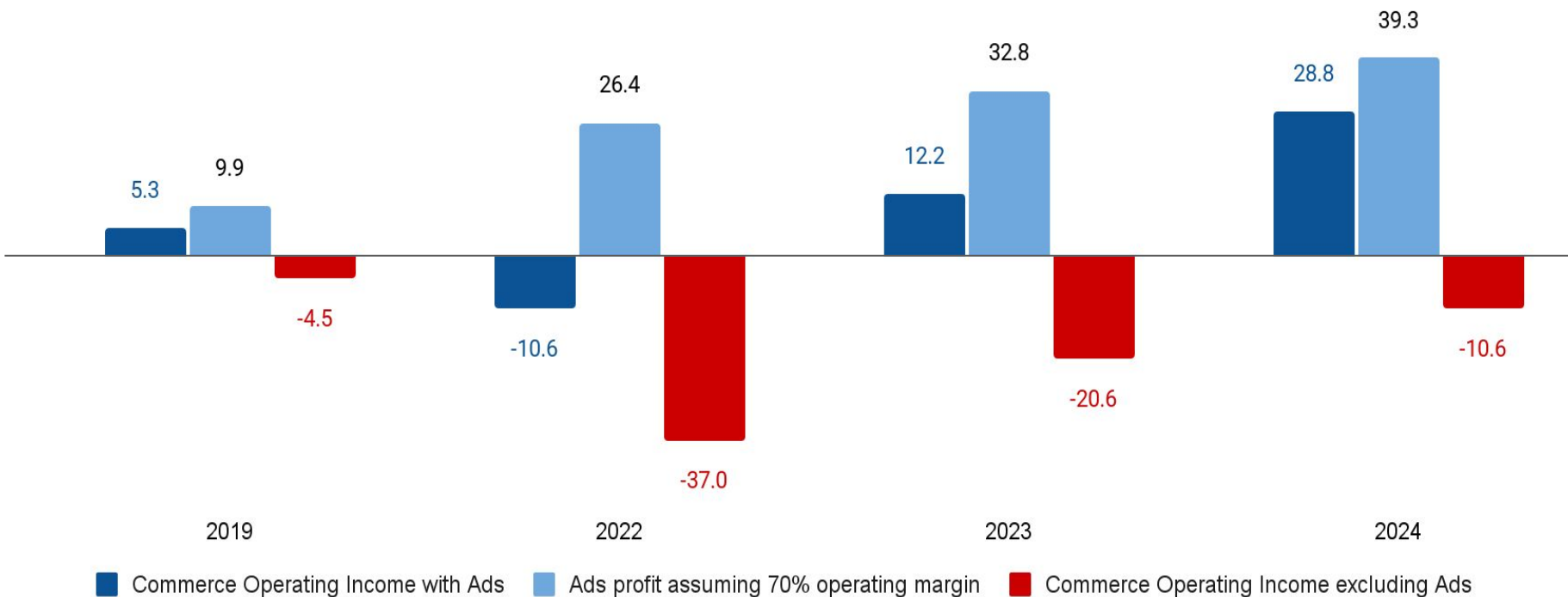
# Advertising revenue is a key profit model for E-commerce





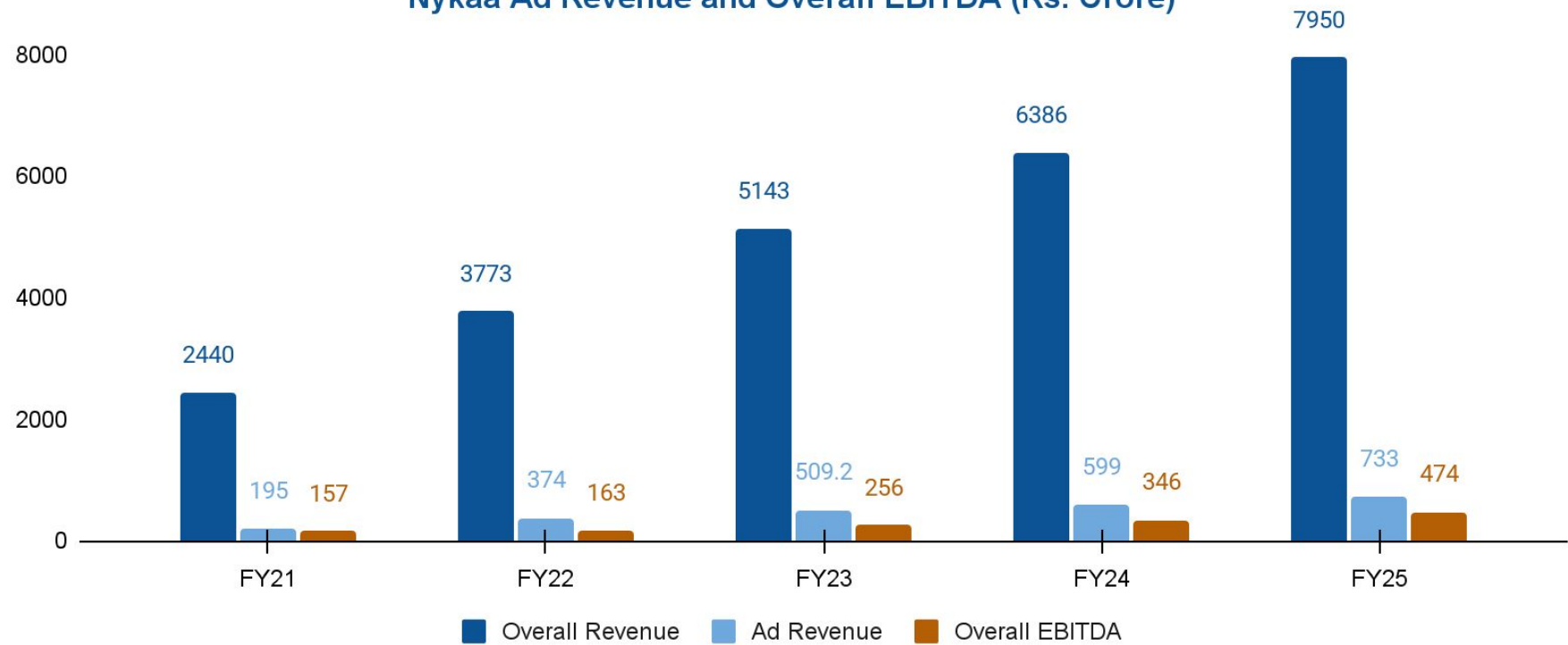
# Advertising revenue is what makes Amazon's E-commerce profitable

Amazon Commerce Operating Income with and without ads (\$bn)

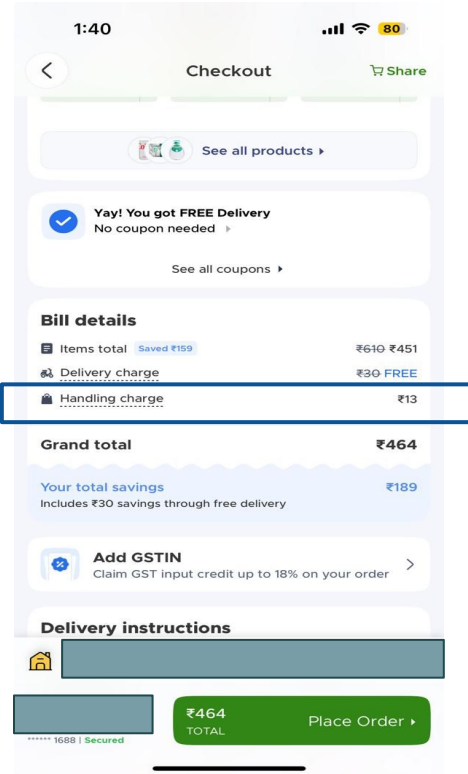


# Nykaa Ad Revenue helps to push its P&L to Profit

Nykaa Ad Revenue and Overall EBITDA (Rs. Crore)



# The importance of Platform Fee: most of contribution profit in Quick Commerce comes from Platform Fee



| <i>In Rs. Crore otherwise mentioned</i>     | <b>Q1 FY26</b> |
|---------------------------------------------|----------------|
| Gross Order Value (GOV)                     | 11821          |
| Net Order Value (NOV)                       | 9203           |
| Revenue                                     | 2400           |
| Contribution Margin                         | 360            |
| Contribution Margin % of NOV                | 3.90%          |
| EBITDA                                      | -162           |
| EBITDA % of NOV                             | -1.8%          |
| Platform Fees (avg per order) in Rs.        | 12             |
| No. of orders in Crore                      | 17.7           |
| <b>Platform Fee Revenue in Rs. Crore</b>    | <b>212</b>     |
| <b>Contribution Margin w/o Platform Fee</b> | <b>148</b>     |
| <b>EBITDA w/o Platform Fee</b>              | <b>-374</b>    |

~60% of contribution profit comes from Platform Fee

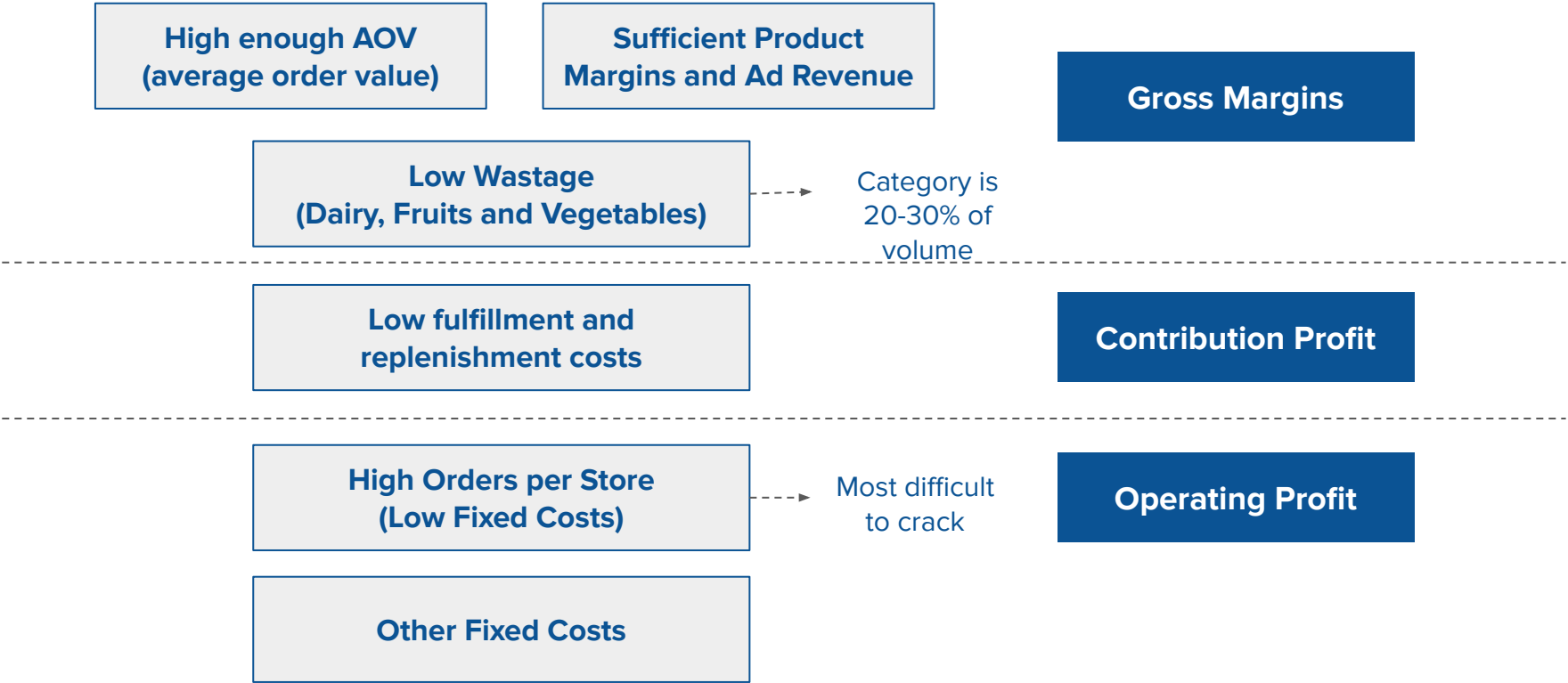
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## Realities - Profitability

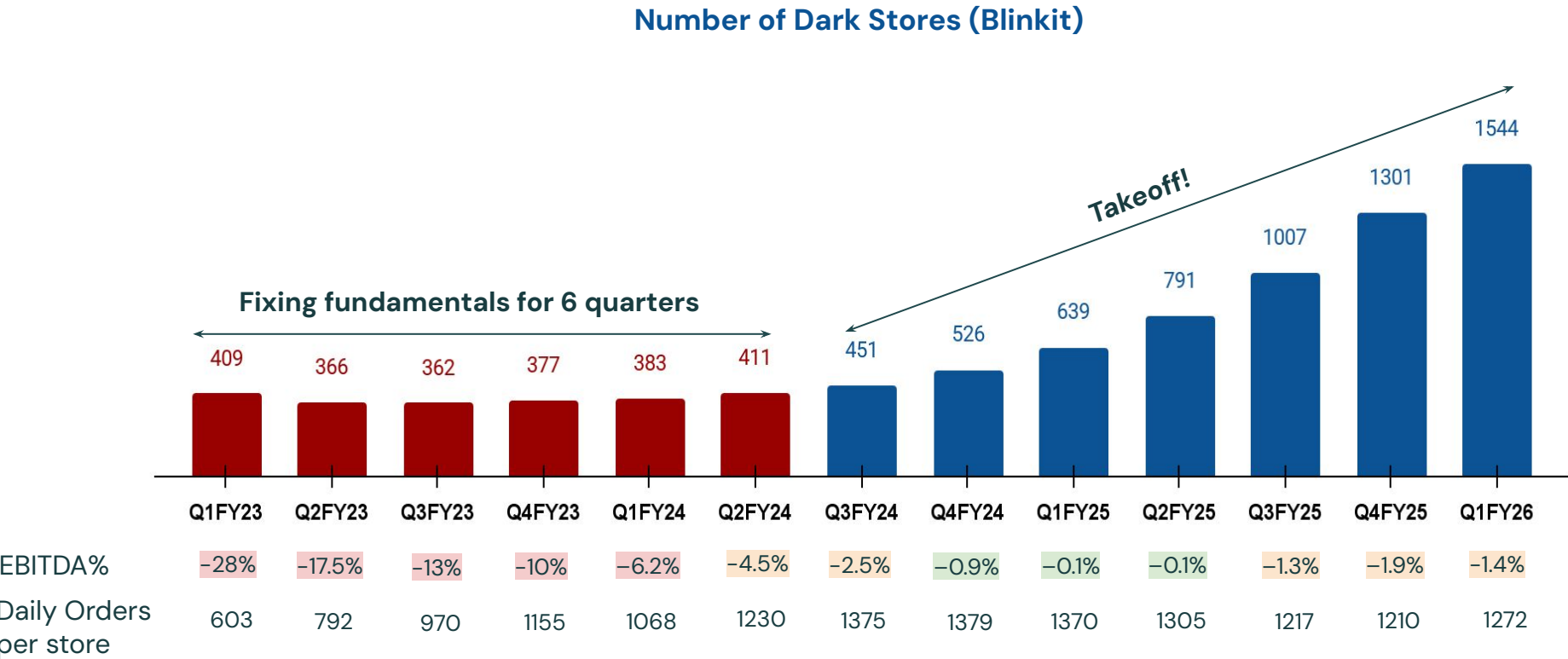
**In the face of intense competitive threat, you may have to make the painful trade-off between growth and unit economics.**

**But scaling without fixing (unit) economics can be dangerous**

# Sustainable Quick Commerce business depends on a few big factors



# Blinkit took a year long pause in its store expansion to correct economics before expanding further



Source: Company Reports

# Challenge for Swiggy Instamart (and potentially Zepto) - it might be difficult to fix store profitability at scale

For Swiggy Instamart, it might be difficult to solve for profitability at scale

| At Store count →     | ~410              | ~410               | ~450   | ~520    | ~600    | ~1000 to 1000 |
|----------------------|-------------------|--------------------|--------|---------|---------|---------------|
| Blinkit EBITDA was   | -28%<br>(Q1 FY23) | -4.5%<br>(Q2 FY24) | -2.50% | -0.90%  | -0.10%  | -1.30%        |
| Instamart EBITDA was |                   | -17.90%            | -18%   | -13.20% | -10.60% | -16%          |

Blinkit was able to get the profitability under control before it scaled even further

Blinkit investing in growth while largely keeping profitability under control

Swiggy Instamart faces a challenging in solving for profitability while at scale



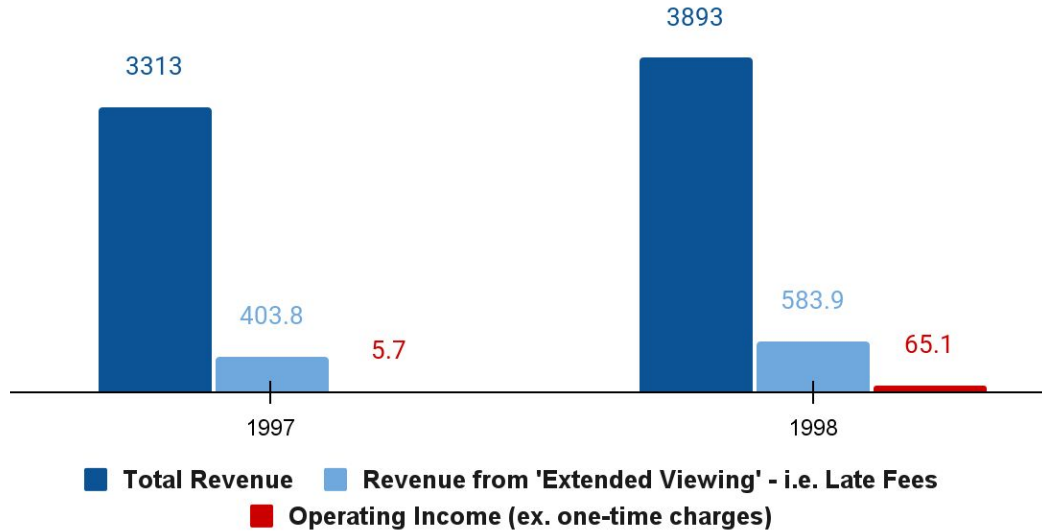
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Realities - Profitability

**The Assumptions in Your Profit Model may not work**

# Blockbuster's main Profit Model was 'Extended Viewing' – basically Late Fees. Netflix disrupted that with its new offering

**Blockbuster Financials (\$mn)**  
- Without late fees it was very unprofitable



Late fees was not important to Netflix because it was a subscription model

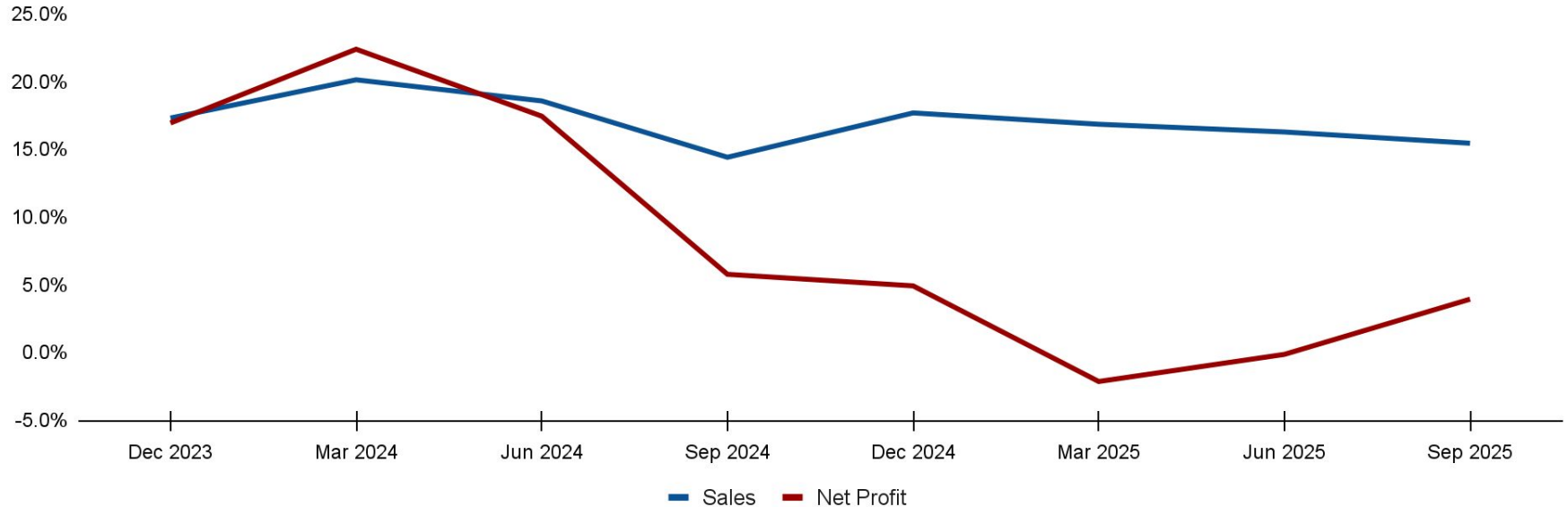


# DMart – Profitable Grocery Retailer – but some of its assumptions in its profit formula are under threat

| DMart Business Model                                 | Key Assumptions in Profit Formula                     | Threats to the Assumptions                                                                 |
|------------------------------------------------------|-------------------------------------------------------|--------------------------------------------------------------------------------------------|
| No frills warehouse stores and Lean Supply Chain     | High sales volume per store                           | Quick Commerce can take customers away by pricing competitively on essentials              |
| Mostly larger pack selection - low per unit price    | Large bill size per customer                          | With Quick Commerce customers do not need to buy upfront and can buy in smaller quantities |
| Essential Selection - Very high inventory turnover   | 25% contribution from Apparel and General Merchandise | Competition from Zudio and other alternatives. This mix is already under stress            |
| Faster payments to brands in exchange for discounts  |                                                       |                                                                                            |
| Owens the stores - no rental expense                 |                                                       |                                                                                            |
| Good mix of High Margin Apparel, General Merchandise |                                                       |                                                                                            |

# DMart already likely being hurt by Quick Commerce

DMart Revenue and Profit YoY Growth (Rs. Crore)

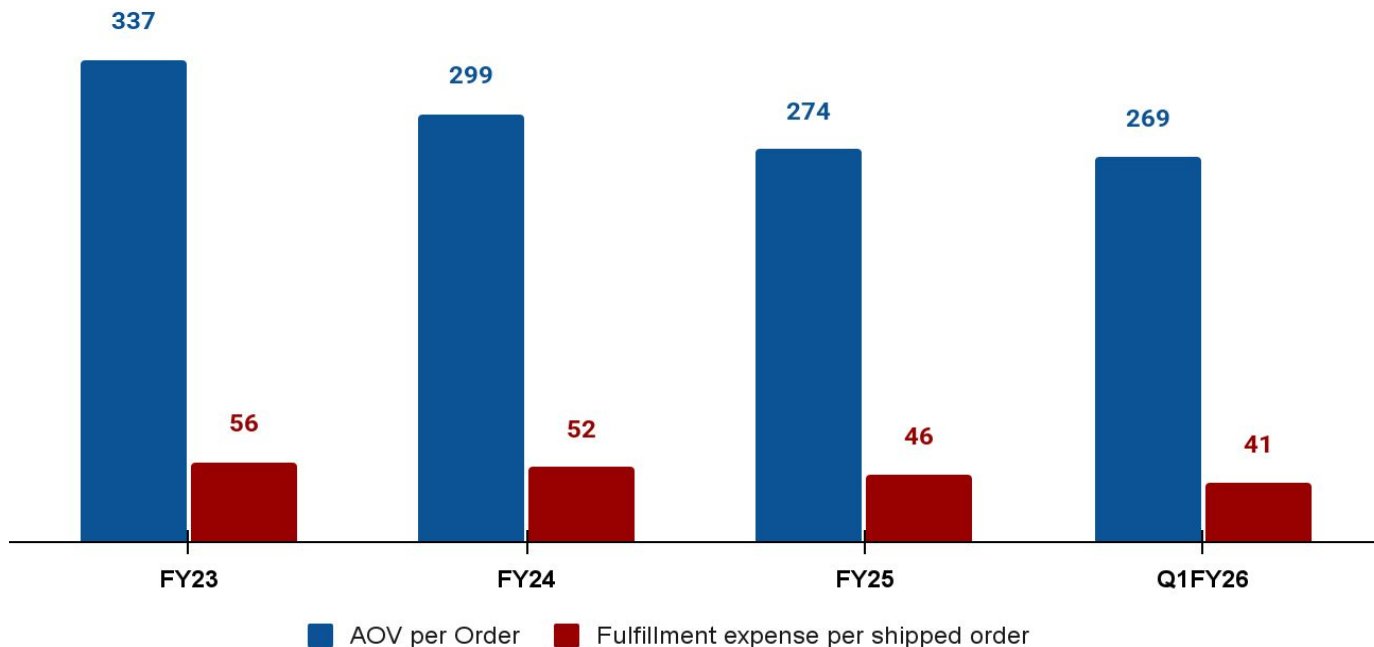


**You can face deteriorating (unit) economics challenge when you expand.**

**For example, the AOV challenge in Indian E-Commerce**

# Meesho faces deteriorating AOV as it expands lower AOV categories (like Home, Beauty). But it has countered with lower shipping cost

Meesho AOV and Fulfillment expense per order



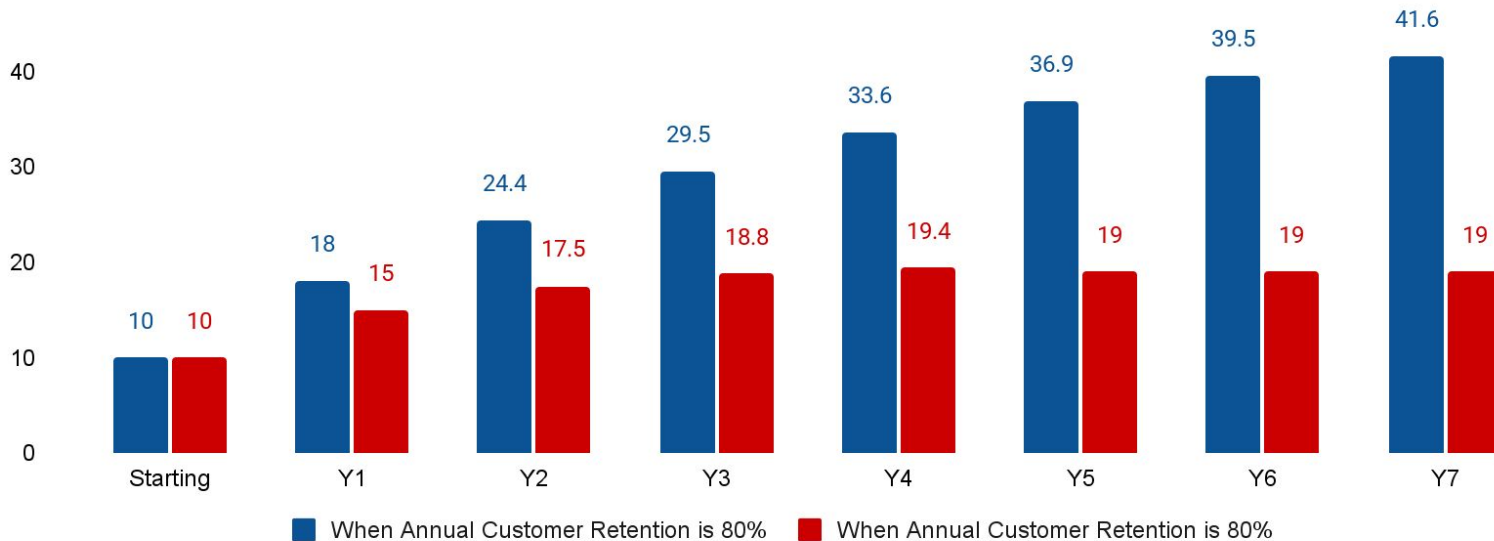
**Customer Acquisition is relatively easy but Retention is very hard.**

**Retention not only determines your growth but also profitability**

# Impact of Retention on Growth becomes very stark after a few years

Assume two platforms each acquire 10 mn new customers annually. Platform 1 retains 80% of its annual customers. Platform 2: retains 50% of its annual customers. What will be the annual transacting customer base over the years?

Platform 2 growth evaporates after Year 4 even if they acquire 10mn customers a year





# Retention can also significantly affect profitability.

## Illustration of Quick Commerce

### A Quick Commerce Dark Store



Dark Store is viable when daily orders per store is high

Orders per store in turn is dependent on:

1. Attracting new customers (diminishes over time)
2. Getting your acquired customers to retain and transact repeatedly

# What we will cover today

---

## Session 1

Realities, Challenges and Opportunities in a highly dynamic industry like Retail and E-Commerce

## Session 2

Organization ways of working and mindsets to win

---

**The Best Companies learn to 'Balance'**

# Balance: Focusing/Shrinking vs. Expanding

**Sam's Club (Walmart) in US shrunk store count** to fix its value proposition.

2015: 647 Stores: 58bn sales | 2024: 600 stores: 90bn sales



**Sam's Club in China expanded store count** from 8 stores 2012 to 55 stores 2025. Cult status among China shoppers.



# Balance: Big Bets vs. Continuous Improvements

Netflix pivoted from DVD rental to subscription model



Source: From 'Netflixed' book by Gina Keating

But had to continuously improve its operations

Worked tightly with UPS to bring cost of shipping DVDs from \$5 to \$1.5

Recommendation Algorithm

Co-marketing with DVD Players companies to drive signups

Overnight delivery which increased retention

Marketing to Immigrants (Indians, Asians) who did not have good choices

Serialized delivery - ship whatever is available. Customers can virtually select a Queue



# Balance: Standardize vs. Customize

## PopMart fully pivoted to the Blind Box model



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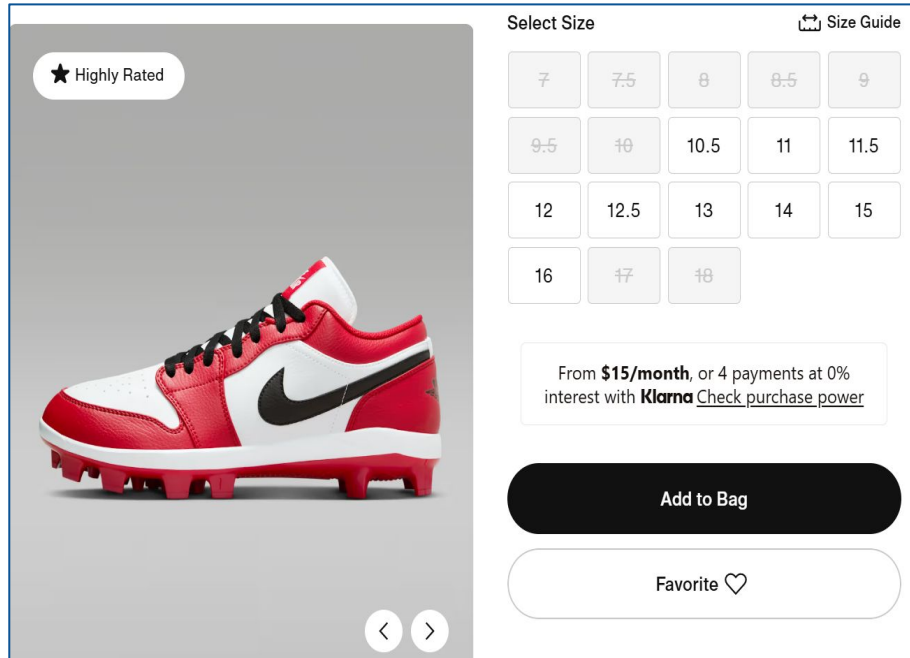
## But It has varied store design and channels like Vending



# Balance: Double Down vs. Eliminate

Nike Doubled Down on Own E-Commerce and Sales initially soared

But it got into trouble after pandemic after trying to drastically reduce wholesale partners





# Balance: Shutdown vs. Reinvent

Walmart's mega store Hypermart USA experiment in 1980s had to be shut down



But the learnings enabled the current dominant Supercenter Format launched in 1988





# Balance: Perfection vs. Shipping Fast

Amazon Prime went from approval to launch in 6 weeks



Amazon Prime team's T-shirts. Codenamed Futurama

Source: Vox

Amazon Alexa took a lot of time and resources before launching and delighting users



# Balance: Protecting vs. Disrupting Yourself



Protecting:

**As Amazon threat loomed, Dick's Sporting Goods (sports retailer) increased e-commerce to 25% of sales (2019)**

# Balance: Protecting vs. Disrupting Yourself

**Disrupting Yourself:** Company launched a new mega experiential store format 'House of Sports' where anyone can come and play and experience various sports before buying



# Balance: Go Deep vs. Go Wide



# Balance: Simplify vs. Layer/Sophisticate

Taobao (Alibaba) simplified selling in China with  
Zero Commission



Taobao also has a multi-layer seller tier system that it  
ties to visibility, promotions, seller perks etc.

|                  |       |                           |       |
|------------------|-------|---------------------------|-------|
| 4-10 point       | ♥     | 10001-20000 point         | 👑     |
| 11-40 point      | ♥♥    | 20001-50000 point         | 👑👑    |
| 41-90 point      | ♥♥♥   | 50001-100000 point        | 👑👑👑   |
| 91-150 point     | ♥♥♥♥  | 100001-200000 point       | 👑👑👑👑  |
| 151-250 point    | ♥♥♥♥♥ | 200001-500000 point       | 👑👑👑👑👑 |
| 251-500 point    | 💎     | 500001- 1000000 point     | 👑     |
| 501-1000 point   | 💎💎    | 1000001-2000000 point     | 👑👑    |
| 1001-2000 point  | 💎💎💎   | 2000001-5000000 point     | 👑👑👑   |
| 2001-5000 point  | 💎💎💎💎  | 5000001-10000000 point    | 👑👑👑👑  |
| 5001-10000 point | 💎💎💎💎💎 | More than 10000001 points | 👑👑👑👑👑 |



# There are a few Org Habits and Mindsets that help in driving performance

---

**A**

**Challenging and Questioning**

**B**

**Non-Linear and Expansive Thinking**

**C**

**Ruthless Clarity**

**D**

**Grounded Rigour**

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# Challenging and Questioning: Question Fundamental or Default Assumptions

CarMax (26 billion dollar revenue) revolutionized the used car market by pioneering Trust



## Fundamentally different for Buyers

No haggle-pricing. Fixed, Transparent Prices

Flat Commissions for salesperson on any type of car. Salesperson → Advisor

10-Day Money Back Guarantee. No Questions asked

Transparent Vehicle History Reports

Every car went through rigorous reconditioning

## Fundamentally different for Sellers

Fixed and Transparent Offers

Trade-in: "Sell car even if you don't buy car from us"

Instant online offers. Valid for 7 days

Handling Paperwork end-to-end

Pick-up and drop flexibility



# Challenging and Questioning: Question Fundamental or Default Assumptions

E-Commerce growth in many countries have come from challenging fundamental assumptions

Cash on Delivery

Zero Commission

10-min Delivery

Unlimited Free  
Delivery

Online-first  
Products

Overnight Delivery

Marketplace  
Model

No-Cost EMI,  
Pay Later

# Challenging and Questioning: Question Fundamental or Default Assumptions

There are many things that you can question

## *Assumptions about:*

- Customer Needs and Preferences
- Customer willingness to pay
- Customer Segments
- The Revenue model
- Distribution approach/model
- Cost structure
- Capabilities
- Performance need of customers

# Challenging and Questioning: Think from First Principles

Costco thinks from first principles in designing Kirkland (private brand) products to achieve Better quality for better price



First Principles questions you may want to ask

What does the customer want in this category?

What is one killer attribute that will cause customers to switch?

What is the reference product customers compare against?

What margins does the reference brand command and why?

What is the sum of ingredients in this product?

What expensive ingredients can be removed without affecting performance much?

And so on...

## Challenging and Questioning: Invert your Question

How initiatives will achieve more growth?



What problems are preventing growth?

What more SKUs should we add?



What SKUs are truly essential?

How can we get more customers



Why are existing customers not buying more?

What more features can we add?



What is the one feature customer will fall for?

Where can we increase prices?



Where can we cut costs?

# There are a few Org Habits and Mindsets that help in driving performance

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# Non-Linear and Expansive Thinking: 10x Thinking

**Aim for magical not marginal improvements**

How can we reduce shipping fee?



How can we make shipping free!

How can we reduce wastage?



How can we hit 90% forecast accuracy?

How can we reach 10,000 customers?



How can we reach 10,000 customers in one city?

How can we get 1mn visits via marketing?



What products will excite 1mn customers to visit us?

How can we get more users to write reviews?

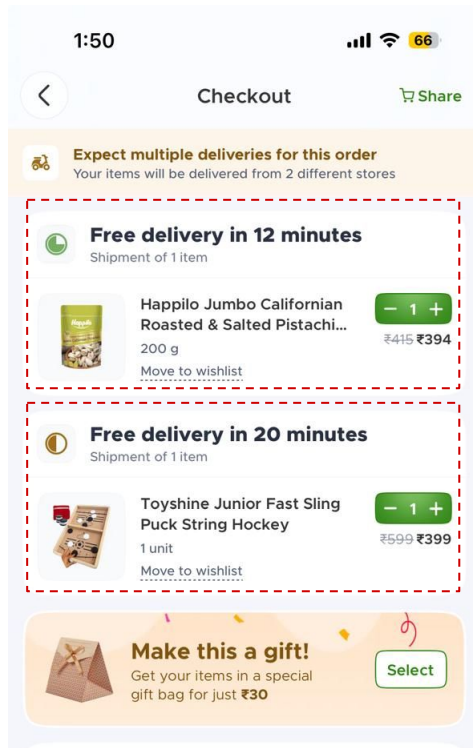


How can we get every user to write review?

# Non-Linear and Expansive Thinking: Overcome Tradeoffs

In Quick Commerce there is a trade-off between cost and selection.

Carrying lot of selection increases space and hence increases cost structure.



Comes from two different stores

Blinkit overcomes this tradeoff by mapping inventory of multiple stores around a user and hence maximizes selection shown to user

## Non-Linear and Expansive Thinking: Look for Silver Bullets

For many companies, most of value accrues from a few big initiatives

**Amazon**

**Marketplace**

**Amazon Prime**

**AWS**

**Advertising**

**China Selection**

**Alibaba**

**Zero Commission**

**Alipay**

**Tmall (Branded)**

**Live Streaming Commerce**

**Cloud**

**Walmart**

**Supercenter Format**

**Groceries**

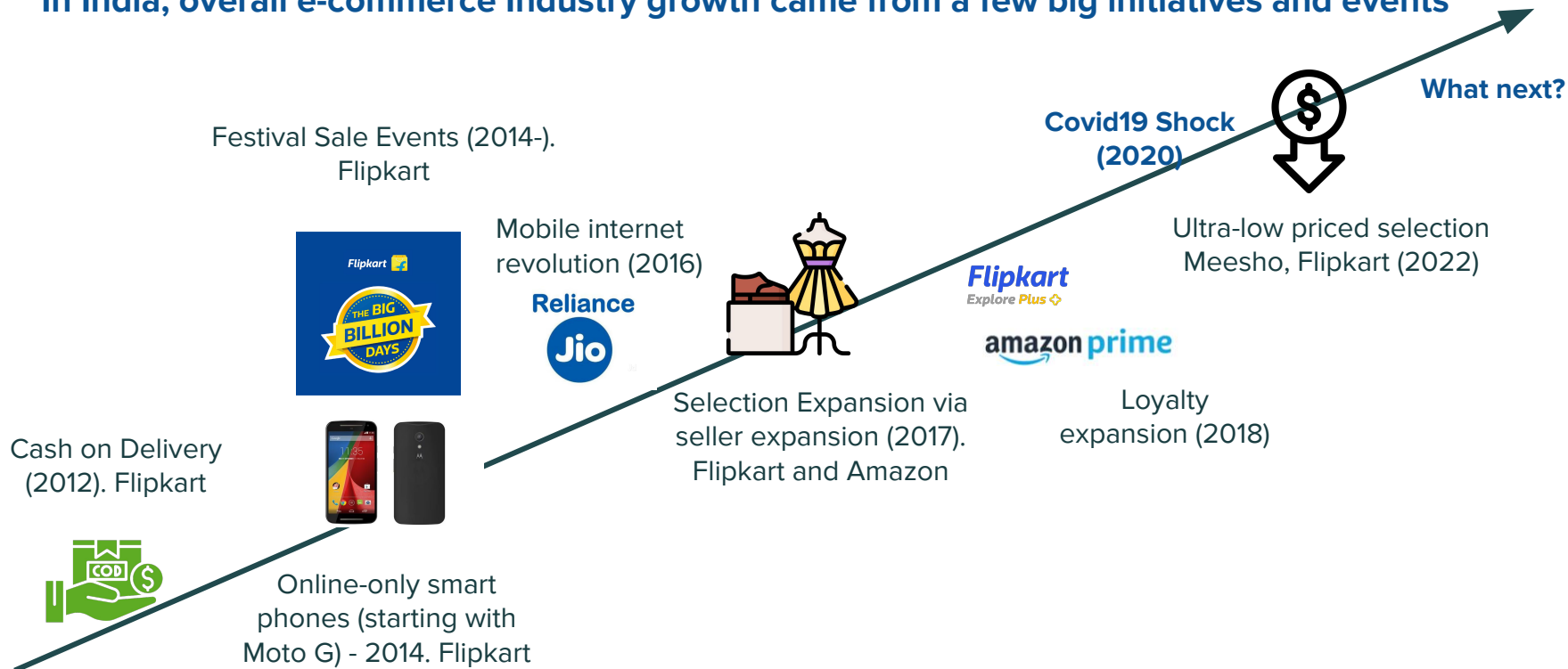
**Sam's Club Format**

**Private Label**



# Non-Linear and Expansive Thinking: Look for Silver Bullets

In India, overall e-commerce Industry growth came from a few big initiatives and events



# Non-Linear and Expansive Thinking: Steal inspiration from other Domains!



duolingo

How can we make this shopping app as addictive as Duolingo?



How can we make our browse experience as scroll worthy as Tiktok?

NETFLIX

How can we make every user's home page as personalized as Netflix?



How can we make our checkout experience as rewarding as finishing a level on Candy Crush?

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## Ruthless clarity – *Cut the ‘crap’!*

**Ask the most important (albeit uncomfortable) questions to reveal insights**

**Why do most customers not come back after the first transaction?**

**Why do customers not consider us even though they remember hearing about us?**

**Why do many customers ‘bounce’ after adding items to their cart?**

**How much time does it take for a customer to build a Grocery basket?**

**What is the one SKU that can drive a lot of interest to this category?**

**What is the one reason customers don’t buy High value products here?**

**Why does the sales fall after the first week of month?**

**Why are customers in this category buying only during sale events?**

## Ruthless clarity – Strategic Honesty

**Have Strategic Honesty though uncomfortable**

**How big is our price advantage vs. our competitor?**

**Is our 'differentiation' vs. competition noticeable by customers?**

**What is the single biggest thing customers hate about us?**

**In which capabilities are we way behind the biggest competitor?**

**What is the realistic level to which we can cut this cost item?**

**How many customers in the market can afford this product?**

**What is going to be our biggest source of growth next few years?**

**By how much can we improve this key capability?**

## Ruthless clarity – Strategic Honesty

Sam's Club (owned by Walmart) contributed a lot of revenue but for years it underperformed (till 2015). It decided to shrink and fix its business before any expansion

Sam's Club completely rethought the business, the assortment it carried (earlier very similar to Walmart) and catered to a higher income customer



|              | 2015 | 2019 | 2024 |
|--------------|------|------|------|
| Store Count  | 647  | 599  | 600  |
| Retail Sq.ft | 87   | 80   | 80   |
| Sales \$bn   | 58   | 59   | 90   |

Sales is much higher today despite a reduced store count

# Ruthless clarity – Ruthlessly Prioritize and Focus

## Sources of Growth

Source 1

Source 2

~~Source 3~~

~~Source 4~~

~~Source 5~~

~~Source 6~~

Force yourself to stack rank and think through (for example) sources of growth.

Spend enough rigor to find the answer

Require enough rigor from teams to identify the answer on what will drive most returns

Focus bandwidth, investments and energy on these

Focus → Speed x Quality



Costco CEO Ron Vachris signs off on every new Kirkland SKU

This level of Focus can only come with prioritization and expecting a high bar from your team

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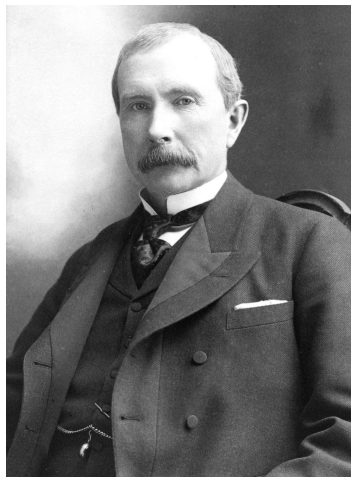
**D**

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## Grounded Rigor – Review at the activity level

### John D Rockefeller and the Kerosene Can



Rockefeller once asked a plant foreman how many drops of solder was used to seal the can.

40.

Did we try anything else? Turns out no. And turns out 39 was sufficient. And they changed it from that day.

Small improvements add up at scale

## Grounded Rigor – Review at the activity level

A lightweight step stool for loading trucks saved Walmart 30mn dollars in cost (because workers used them to fill up more space in trucks)



BUSINESS OF DESIGN

**Walmart saves \$200 million by changing its light bulbs and \$20 million with a new floor wax**

PUBLISHED TUE, OCT 16 2018•11:11 AM EDT | UPDATED TUE, OCT 16 2018•1:29 PM EDT

**Walmart changed the way it buys shopping bags and saved \$60 million**

Walmart steps up automation with labour-saving sensors

Retailer expands use of devices to monitor 90mn pallet deliveries a year from warehouses to its 4,600 US outlets

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**Thank You!**